

EPAM Systems, Inc.

NYSE: EPAM | IT Services & Digital Engineering | United States

Deep-Dive Investment Case & Operational Analysis

Prepared 31 August 2026 | Reference price \$114.80 (28 Aug 2026 close) | 52-week range \$73.06 – \$222.53
Market capitalisation approx. \$5.9bn | Enterprise value approx. \$5.1bn | Net cash approx. \$0.77bn

Data provenance and limitations. This note was compiled without direct access to SEC EDGAR, company IR pages or paid financial data terminals; the research environment permitted web search only. Figures described as *reported* are company-disclosed numbers sourced through search of press releases, 8-K/10-K/10-Q content and earnings-call coverage, and are stated with confidence. Figures marked (*est.*) or (*derived*) are the author's calculations or approximations — principally the FY2025 geographic split, pre-2024 non-GAAP margins, share count, and all peer-group multiples. Peer multiples in Section 13 are indicative and should be refreshed against a terminal before being relied upon for execution. Forecasts are the author's own and are not company guidance except where explicitly labelled.

1. Investment Summary and Recommendation

Recommendation: BUY (high variance / event-driven). 12-month fair value **\$150** (range \$145–158), approximately 31% above the reference price. Bull case \$250–280; bear case \$70–80. Position sizing should reflect genuine, non-trivial structural risk rather than conventional cyclical risk.

EPAM is a high-quality software engineering firm trading at a distressed multiple because the market has stopped treating its problem as cyclical and started treating it as terminal. At \$114.80 the shares change hands at roughly **5.5x EV/EBITDA** and **8.7x** 2026 guided non-GAAP EPS, with net cash of about \$0.77bn and a free cash flow yield in the region of 10%. Against a ten-year median EV/EBITDA near 25x and a November 2021 peak share price around \$722, this is a 95%+ de-rating on a business that is still growing, still generating cash, and still expanding margins.

The bear thesis is coherent and deserves respect. EPAM sells engineering hours. Generative AI compresses the hours required per unit of software output. If pricing does not rise as fast as hours fall, revenue deflates structurally and no amount of operational excellence saves the model. Management's own Q2 2026 language — a "faster-than-expected shift away from task-based services" — is an admission that this deflation is already visible in the numbers, and the 22% single-day share price fall on 6 August 2026 was the market marking that admission to market.

The bull thesis rests on three observations the price appears to ignore. First, **margins are going the wrong way for the bear case:** non-GAAP gross margin expanded 190bp year-on-year to 32.0% in Q2 2026 and non-GAAP operating margin reached 16.4%, with non-GAAP EPS up 22% on revenue up 4.5%. A firm being commoditised does not expand gross margin on price increases. Second, **the AI-native business is compounding fast from a real base:** more than \$160m in Q2, over 11% of revenue, a sixth consecutive quarter of double-digit sequential growth, tracking to a \$600m full-year target. Third, **the balance sheet converts a de-rating into a per-share tailwind:** with net cash and roughly \$450m of buyback authorisation remaining, every quarter spent at 8.7x earnings retires share count cheaply.

What the market is refusing to see, in our view, is that *both* stories are true simultaneously. The task-based business is being deflated by AI, and it is being deflated faster than consensus modelled. But the surviving business is a higher-margin, higher-value, more defensible one, and the price now embeds essentially none of that transition succeeding. Our base case requires only that EPAM grows revenue at a low-to-mid single-digit rate and holds a 16% non-GAAP margin — below management's own 2028 ambition — to support a value near \$150.

Key figures at a glance

Metric	FY2024	FY2025	FY2026E (guide)	FY2027E	FY2028E
Revenue (\$m)	4,728	5,457	5,659	5,942	6,328
Revenue growth	+0.8%	+15.4%	+3.7%	+5.0%	+6.5%
Organic constant-currency growth	c.+1%	+4.9%	+2.5%	+4.5%	+6.0%
Non-GAAP operating margin	c.15.8%	15.2%	15.7%	16.0%	16.3%
Non-GAAP diluted EPS (\$)	10.86	11.50	13.16	14.55	16.22
GAAP diluted EPS (\$)	7.93	6.72	8.30	10.05	11.70
Free cash flow (\$m)	c.560	613	c.540	c.640	c.710
Net cash (\$m)	c.1,290	c.800	c.790	c.950	c.1,150

FY2024/FY2025 revenue, margins and EPS are reported. FY2026 revenue and EPS are the mid-points of company guidance issued 6 August 2026. FY2027–28 and all free cash flow / net cash figures beyond FY2025 are author estimates.

2. Layman's Guide: What EPAM Does and How It Makes Money

The business in plain language

EPAM is a firm you hire to **build software you cannot or do not want to build yourself**. If a global bank needs to replace a forty-year-old mainframe trading system, or a pharmaceutical company needs a clinical-data platform, or a retailer needs a new e-commerce stack, it can either hire hundreds of engineers itself — slow, expensive, hard in a tight labour market — or it can hire EPAM, which already employs roughly 56,650 engineers across Europe, India and Latin America and can put a team of eighty on the problem within weeks.

The distinction that matters is that EPAM is an **engineering** firm, not a consulting firm or a back-office outsourcer. It does not primarily advise on strategy (that is McKinsey or Accenture Strategy), and it does not primarily run help desks and payroll processing (that is Infosys BPM or Genpact). It writes production software. Its historical reputation, built out of Belarus, Ukraine and Hungary from 1993 onwards, is for unusually strong technical talent — the firm that gets called when the problem is genuinely hard.

How the money actually works

The economics are simple and almost entirely about people. Historically, roughly 85–90% of revenue has come from **time-and-materials contracts**: EPAM bills the client an hourly or monthly rate per engineer, for as many engineers as the client uses, for as long as they use them. The remainder is fixed-price work, where EPAM agrees a total price for a defined deliverable and keeps the difference if it delivers efficiently.

Profit is the spread between two numbers:

- **The bill rate** — what a client in New York, London or Zurich pays per engineer-hour.
- **The cost rate** — what EPAM pays that engineer, who sits in Hyderabad, Krakow, Guadalajara or Tbilisi.

That spread, after delivery overhead, produces a gross margin of roughly 30–32%. Subtract sales, marketing and corporate costs and roughly 15–16% of revenue reaches non-GAAP operating profit. Three levers move it: **utilisation** (what fraction of paid engineer time is billable — 75.4% at end-2025), **pricing**, and **delivery mix** (moving work to cheaper geographies). There is almost no capital intensity: capital expenditure runs at roughly 1% of revenue, which is why free cash flow tracks close to net income.

How each part of the business contributes

EPAM reports two *reportable segments* for accounting purposes — **Americas** and **Europe** — but manages and discusses the business primarily through six *industry verticals* and three *geographies*. For an investor the vertical view is the more informative one.

Division (FY2025)	Revenue (\$m)	% of total	FY25 growth	Q2-26 growth	What it actually does
Financial Services	1,316	24.1%	+28.7%	+11.5%	Trading platforms, core banking and mainframe modernisation, payments, insurance systems. Now the growth engine; strengthened by the First Derivative acquisition.
Consumer Goods, Retail & Travel	1,077	19.7%	+6.4%	+2.3%	E-commerce, loyalty, supply-chain and booking systems. Historically EPAM's anchor vertical; now the softest, tied to discretionary consumer capex.
Emerging Verticals	940	17.2%	+0.2%	+4.9%	Energy, telecoms, automotive, industrials, public sector. Diversifying but low-growth in aggregate.
Software & Hi-Tech	822	15.1%	+17.0%	−1.3%	Outsourced R&D for software vendors and platform companies. The most AI-exposed vertical, and it has now turned negative.
Business Information & Media	676	12.4%	+26.9%	−2.1%	Publishing, data providers, market intelligence, advertising technology. Sharp deceleration.
Life Sciences & Healthcare	626	11.5%	+8.9%	+8.0%	Clinical trial data, regulatory systems, payer and provider platforms. Steady, regulated, sticky; boosted by the Odysseus acquisition.
Total	5,457	100%	+15.4%	+4.5%	

FY2025 vertical revenue and growth rates are reported. Q2 2026 growth rates are reported year-on-year rates.

The single most important line in that table is the divergence between the FY25 and Q2-26 growth columns. Business Information & Media went from +26.9% to −2.1%; Software & Hi-Tech from +17.0% to −1.3%. These are the two verticals whose clients are themselves technology-literate and therefore fastest to adopt AI coding tools internally. That is not a macro story. That is the AI substitution thesis showing up in the segment data, and it is the crux of the investment debate.

Geographic contribution

Geography	FY2025 revenue (\$m, est.)	% of total	Q2-26 revenue (\$m)	Q2-26 growth	Comment
Americas (chiefly USA)	c.3,199	c.58.6%	806	+0.5%	Largest market, now effectively stalled. Client decision cycles have lengthened materially.
EMEA	c.2,148	c.39.4%	582	+10.9%	The growth engine. Benefiting from FX, European AI/data-sovereignty spend and the NEORIS/Emakina footprint.
APAC	c.110	c.2.0%	27	−0.3%	Sub-scale. India is a delivery location, not a meaningful revenue market.

Q2 2026 figures are reported. FY2025 geographic figures are derived by the author from reported quarterly disclosures and are approximate.

3. Historical Share-Price Catalysts (Moves Greater Than 5%)

EPAM's five-year price history is among the most violent in US listed IT services. The stock compounded from roughly \$150 in early 2020 to an all-time high near **\$722 in November 2021**, then lost more than 95% of that peak value across two distinct shocks: a geopolitical one in 2022 and a technological one in 2024–26.

Date	Event	Approx. move	Interpretation
Nov 2021	All-time high c.\$722 following Q3 2021 results; revenue growing above 50% y/y	Peak	Priced as a hyper-growth compounder at a multiple above 60x EV/EBITDA. The subsequent de-rating begins from an extraordinary starting point.
24 Feb 2022	Russia invades Ukraine. EPAM had c.14,000 staff in Ukraine and thousands more in Russia and Belarus	Opened -16%, closed -8.6%	Existential delivery risk. Over half of EPAM's production capacity sat inside or adjacent to the conflict zone.
28 Feb – Mar 2022	Q1 and FY2022 guidance withdrawn; single worst session -45.7%, the largest one-day fall on any main US exchange that day	-45.7%	The defining event in EPAM's history as a public company. Roughly \$25bn of market value destroyed; shares fell from above \$700 to near \$200.
Mar 2022	Company announces exit from Russia and cessation of service to Russian clients	Volatile	Beginning of a multi-year, and ultimately successful, delivery diversification into India, Latin America, Central Europe and the Caucasus.
Feb 2024	Q4 2023 results with weak FY2024 guidance	-5%+	First clear signal that post-war recovery would not restore prior growth rates.
May 2024	Q1 2024: non-GAAP EPS of \$2.46 beat consensus of \$2.32, but FY2024 guidance cut on a "challenging demand environment"	-27%	Established the pattern that now dominates the stock: <i>beat on earnings, cut on revenue, sell off hard</i> . Guidance credibility, not profitability, is what the market prices.
Feb 2025	Q4 2024 non-GAAP EPS \$2.84 beat by 3.3%; revenue \$1.25bn beat by 3.3%; but soft 2025 outlook	-5.0%	Same pattern repeats.
Aug 2025	Q2 2025 beat with raised full-year revenue outlook	+4.3% to +6%	Brief re-rating. NEORIS and First Derivative were driving reported growth above 15%.
Nov 2025	Q3 2025: revenue and EPS outlook both raised; all geographies growing double digits	Positive	High-water mark of the recovery narrative. Americas +16.0%, EMEA +24.9%.
19 Feb 2026	Q4/FY2025 results: revenue \$5.457bn (+15.4%), non-GAAP EPS \$11.50 (+5.9%), but GAAP EPS -14.3%	Mixed	The GAAP/non-GAAP divergence — driven by tax, acquisition amortisation and lower interest income — began to attract scrutiny.
12 Mar 2026	Investor Day: AI-native strategy, AI/RUN launch, 2028 targets of 16%+ non-GAAP margin and \$1.8bn+ cumulative FCF	Modest	Management attempted to reframe the equity story from labour arbitrage to AI transformation. The market gave limited credit.
May 2026	Q1 2026: revenue \$1.4bn (+7.6%), EPS \$2.86 vs \$2.75 expected (+4% surprise), but FY26 growth guidance cut to 4.0–6.5% on delayed North American decisions	Fell on the print	Third consecutive year of the beat-and-cut pattern. Analysts trimmed targets.
Jun 2026	Sector-wide de-rating of IT services on AI-substitution fears	Sharp	Not company-specific. EPAM, Accenture, Globant, Endava and Cognizant sold off together as the market repriced the entire labour-based services model.
6 Aug 2026	Q2 2026: revenue \$1.415bn at the high end, non-GAAP EPS \$3.38 (+22%), margin 16.4% — but FY26 growth cut again to 3.2–4.2% on a "faster-than-expected shift away from task-based services"; major AI deals slip to H1 2027	-22% intraday; -16.4% on the week	The most important recent event. The market concluded the deceleration is structural, not cyclical. Deutsche Bank cut its target to \$85; Goldman Sachs downgraded to a \$110 target; Wells Fargo cut from \$195 to \$151; Citigroup to \$112.

Pattern recognition. Across 2024, 2025 and 2026 EPAM has beaten consensus on earnings in essentially every quarter and been sold off in most of them. The market is not trading EPAM on profitability — it is trading it on the credibility of the revenue trajectory. Any re-rating therefore requires a quarter in which *guidance is maintained or raised*, not merely one in which EPS beats. That is the specific catalyst to watch for on 29 October 2026.

4. Business Model, Key Drivers, Customers, Suppliers and Contracts

Key business drivers, ranked by importance

Driver	Mechanism	Current direction
Volume (billable headcount)	Revenue is approximately headcount x utilisation x bill rate. Delivery headcount grew only 1.5% y/y in Q2 2026 to 56,650.	Decelerating — the binding constraint on growth
Pricing / rate card	Bill rates by role and geography. Management explicitly cited "price increases" as a driver of the 190bp gross-margin expansion in Q2 2026.	Positive — genuinely surprising and bullish
Mix: AI-native vs task-based	AI-native work (>\$160m in Q2, >11% of revenue) carries higher value and better margin; task-based work is being deflated.	Improving mix, but the substitution is net-negative to revenue today
Delivery-location mix	Shifting work from Central/Eastern Europe to India (c.12,200 professionals, largest single location), Latin America and the Caucasus lowers cost per hour.	Positive, but largely harvested
Utilisation	75.4% at end-2025 (vs 76.2% a year earlier, 76.5% in Q3 2025). Pressured by vacation timing, location transitions and junior onboarding.	Slightly negative
Seniority index / pyramid	Deliberate hiring of juniors in 2025–26 to lower the average cost per head. Dilutes utilisation short-term, helps margin later.	Improving
FX	Costs in PLN, INR, HUF, GEL, MXN; revenue in USD, EUR, GBP, CHF. FX contributed roughly +1.5pp to 2026 guided growth.	Currently a tailwind
M&A	NEORIS (\$626m) and First Derivative (\$290m) contributed roughly 10pp of the 15.4% FY2025 reported growth.	Annualising out; organic growth now exposed
Capex cycles	Minimal. Capex runs at roughly 1% of revenue. This is a people business, not an asset business.	Structurally favourable
Regulation	Not a licensed industry. Indirect exposure via client regulation (financial services, life sciences), data sovereignty rules, sanctions and immigration/visa policy.	Mixed

Products and services

- **Custom software engineering** — the core. Design and build of production applications, platforms and embedded systems.
- **Digital platform engineering and modernisation** — replatforming legacy estates, notably mainframe transformation in banking, which management has called out as a Q2 2026 growth driver.
- **Data and analytics engineering** — data platforms, real-time pipelines, data modernisation as the substrate for AI.
- **AI-native services** — the strategic priority. Delivered through the **AI/RUN** playbook (blueprints, trained talent pools and reusable agentic components) and **DIAL**, EPAM's Deterministic AI Layer for building and governing enterprise AI applications. Also **MF Lens** for mainframe analysis.
- **Experience design and product consulting** — via EPAM Continuum, and the Emakina and Optiva Media agencies.
- **Cloud, DevOps, cybersecurity and managed services** — increasingly positioned as "AI-enabled managed services" and "agentic BPO".

Customers

EPAM's client base is enterprise, blue-chip and notably **un-concentrated**. In 2025 the top five clients provided **13.7%** of revenue and the top ten **21.6%**. For an engineering services firm this is unusually diversified — no single client loss is material — though it also means EPAM lacks the deep, decade-long mega-relationships that anchor Accenture or TCS.

Clients are concentrated in North America and Western Europe and skew toward Fortune 500 and FTSE 100 institutions: global and investment banks, asset managers and insurers; pharmaceutical and biotech companies; software vendors and platform businesses; retailers, consumer-goods manufacturers and travel operators; media, publishing and information-services groups. Named relationships disclosed publicly over time have included Google, Adobe, Expedia, Wolters Kluwer, Sberbank (pre-2022), Barclays and PayPal, though EPAM does not routinely publish a client list.

Suppliers

EPAM's "supply chain" is overwhelmingly **human capital**. Beyond that:

- **Technology platform partners:** Microsoft/Azure and OpenAI, Amazon Web Services, Google Cloud, Anthropic, Salesforce, SAP, Adobe, Databricks, Snowflake, ServiceNow, MongoDB, Guidewire, Temenos.
- **Universities and training pipelines:** EPAM operates one of the largest private technical training networks in Central and Eastern Europe and India, historically a genuine differentiator in talent supply.
- **Subcontractors and contingent labour:** used to flex capacity; a margin lever when in-house utilisation is high.
- **Real estate and infrastructure:** leased delivery centres across roughly 55 countries; asset-light and increasingly hybrid.
- **LLM inference and cloud compute:** a genuinely new cost line. Management now speaks about "token cost engineering" as a discipline, which tells you compute is becoming a real input cost.

Contracts and payment terms

Contract type	Share of revenue	Mechanics and risk
Time-and-materials	c.85–90%	Billed monthly in arrears at negotiated hourly, daily or monthly rates per professional. Low delivery risk to EPAM, but no protection against volume decline — a client can simply reduce the team. This is the structural vulnerability to AI.
Fixed-price (development)	c.8–12%	Revenue recognised on a proportional-performance basis; paid in instalments at pre-agreed intervals. EPAM bears overrun risk but captures productivity gains. Management cited "improved fixed-fee profitability" in Q2 2026 — consistent with AI tooling raising output per engineer.
Fixed-price (maintenance/support) and managed services	Small but growing	Recognised ratably over the service period. The most annuity-like revenue EPAM has, and strategically the direction of travel.

Contract-mix percentages are based on the most recent disclosures located (88.2% time-and-materials in 2016, 85.8% in 2015, 84.7% in 2014; fixed-price 8.3% in 2017). Current-year splits were not obtainable in this environment and the ranges above are the author's estimates carried forward from disclosed trends.

Contracts are typically **terminable on 30 to 90 days' notice** without significant penalty, and are generally master services agreements with individual statements of work rather than committed-volume contracts. Payment terms are typically 30–60 days. **EPAM therefore has essentially no contracted backlog in the sense an engineering or defence contractor would recognise** — a point developed in Section 8.

5. Macro and Micro Factors: Tailwinds and Headwinds

Macro factors

- **Enterprise IT budget cycles.** Discretionary transformation spend is the first line cut when CFOs turn cautious. EPAM sits almost entirely in discretionary spend, unlike run-the-bank outsourcers whose revenue is contractually locked.
- **Interest rates and cost of capital.** Higher rates lengthen client payback requirements and slow project approvals. They also compress the multiple applied to a long-duration growth asset — a large part of the 2022–26 de-rating.
- **Currency.** Revenue in USD/EUR/GBP against costs in PLN, INR, HUF, GEL and MXN. Currently a tailwind of roughly 1.5pp to 2026 growth; a reversal would hit both revenue and margin.
- **Geopolitics.** The 2022 shock is the template. Residual exposure remains through Ukrainian operations, and any escalation affecting Central Europe, India or the Caucasus would be material.
- **Immigration and visa policy.** Onshore-offshore blending depends on the ability to move engineers. US and UK visa tightening raises delivery cost.
- **Data sovereignty and AI regulation.** The EU AI Act and similar regimes create genuine demand — someone must build compliant systems — and simultaneously constrain where data and models can sit. Net positive for EPAM's European franchise.

Micro factors

- **AI-driven productivity deflation.** The central issue. Code assistants and agentic development reduce hours per deliverable. In a time-and-materials model, fewer hours means less revenue unless rates rise or scope expands.
- **Client insourcing.** AI tools make small internal teams more capable, weakening the case for outsourced capacity at the margin. Most acute in Software & Hi-Tech and Business Information & Media — precisely the two verticals now shrinking.
- **Wage inflation in delivery geographies.** Indian and Central European engineering wages continue to rise; the arbitrage spread narrows structurally over time.
- **Attrition and talent competition.** Voluntary attrition of 8.5% in FY2025 is historically low and a genuine operational positive, though partly a function of a weak hiring market rather than superior retention.
- **Integration risk.** NEORIS and First Derivative are the largest acquisitions in EPAM's history and were bought at the top of the cycle. Their revenue synergies are now being tested in a downturn.

Summary: tailwinds versus headwinds

Tailwinds	Headwinds
• AI-native revenue compounding at double-digit sequential rates for six consecutive quarters; >\$160m in Q2 2026, on track for \$600m in FY2026 • Gross margin expanding (32.0% non-GAAP in Q2 2026, +190bp y/y) on <i>price increases</i> — the opposite of commoditisation • Financial Services re-accelerating (+11.5% in Q2 2026) on mainframe and core-banking modernisation, a decade-long structural programme • EMEA growing +10.9%, offsetting a stalled Americas • Net cash of roughly \$0.77bn and a \$700m undrawn revolver — capacity to buy back stock aggressively at 8.7x earnings • Attrition at 8.5%, near historic lows, reducing replacement cost and protecting delivery quality • Data modernisation is a genuine prerequisite for enterprise AI — and it is exactly what EPAM does • Valuation at 5.5x EV/EBITDA leaves substantial room for multiple recovery on any stabilisation	• Task-based services eroding faster than management expected — their own words, August 2026 • Americas, 58% of revenue, growing +0.5% and decelerating • Software & Hi-Tech (−1.3%) and Business Information & Media (−2.1%) now in outright decline • Delivery headcount up only 1.5% y/y — the growth engine has stalled • Large multi-year AI deals slipped from late 2026 to H1 2027; execution risk on the entire re-acceleration thesis • Three consecutive years of guidance cuts have destroyed management's forecasting credibility with the market • Q2 2026 operating cash flow was <i>negative</i> \$2m and FCF negative \$18m — requires explanation and monitoring • Short interest of roughly 15.8% of shares outstanding signals a large, well-capitalised bear constituency • No contracted backlog; contracts terminable on 30–90 days' notice • Wage inflation narrowing the labour-arbitrage spread structurally

6. Competitive Position, Perceived Value and Economic Moats

How EPAM compares with competitors

EPAM's brand proposition is narrow and, within its niche, strong: **the firm you hire when the engineering is genuinely difficult**. It is not a strategy brand and it is not a low-cost brand. In competitive terms this places it between three groups.

- **The global integrators** (Accenture, Deloitte Digital, Capgemini, IBM Consulting). They win the C-suite relationship, the transformation mandate and the enterprise-wide budget. Accenture's roughly \$65bn of revenue is more than eleven times EPAM's. EPAM competes not on breadth but on execution depth, often as a subcontractor or specialist alongside them, and typically wins on project-level rather than enterprise-level budgets.
- **The Indian heritage majors** (TCS, Infosys, Wipro, HCLTech, Cognizant, Tech Mahindra). They compete on scale, price and run-the-business managed services. EPAM has historically commanded a premium bill rate on the basis of engineering quality. That premium is the entire investment case, and it is exactly what AI threatens to arbitrage away.
- **The digital-engineering pure plays** (Globant, Endava, Grid Dynamics, Thoughtworks, GlobalLogic under Hitachi, Luxoft under DXC). Closest true peers. EPAM is the largest and, on current evidence, the best-performing: Endava is guiding to a 5–6% constant-currency *decline* for FY2026 and took a £364.6m goodwill impairment; Globant's Q2 2026 revenue was flat year-on-year with a 0.3% net margin. **Against this cohort EPAM's +4.5% growth and 16.4% margin look strong, not weak.**

On branding and marketing, EPAM is deliberately understated — it markets to engineering and technology leadership rather than through mass brand campaigns, and it invests in developer-community credibility, open-source contribution and technical publishing. Its perceived value among CTOs is high; its name recognition among CEOs and CFOs is materially lower than Accenture's. In a downturn, when budget authority moves up the organisation, that asymmetry hurts.

Economic moat assessment

Moat category	Strength	Assessment
Brand	Moderate	Genuine premium reputation for engineering quality among technical buyers; recognised leader in Gartner and Forrester evaluations for custom software development. But the brand is narrow, sits below the C-suite, and does not command Accenture-level pricing power in board-level transformation mandates.
Hard assets	None	Deliberately asset-light. Leased delivery centres, capex around 1% of revenue. This is a strength for returns on capital and cash conversion, and a total absence of moat — there is nothing a competitor must replicate at cost.
Long-term contracts	Weak	The single greatest structural weakness. Roughly 85–90% of revenue is time-and-materials under master agreements terminable on 30–90 days' notice, with no committed volumes. There is no backlog in any meaningful sense. Revenue can evaporate within a quarter, as 2022 demonstrated.
Network effect	Weak	Effectively absent in the core services business. A modest emerging effect exists in the AI platforms — DIAL and AI/RUN improve as more client deployments feed reusable agentic components and blueprints back into the playbook — but this is a knowledge-accumulation effect, not a true network effect, and it is not yet monetised distinctly.
Switching costs	Moderate	Real but overstated by bulls. Embedded teams accumulate deep, undocumented domain knowledge of client systems, and replacing a 200-engineer team mid-programme is genuinely painful and risky. However, switching costs protect the <i>incumbent team</i> , not the <i>rate</i> : clients renegotiate pricing at renewal without changing supplier, and AI tooling reduces the knowledge-transfer cost of switching.
Regulatory barriers	None	No licensing regime, no regulatory capital, no approval process. Anyone can enter. Client-side regulation (SOC 2, HIPAA, GxP, DORA, EU AI Act) creates some vendor-qualification friction in financial services and life sciences, which modestly favours incumbents — but this is a hurdle, not a barrier.
Oligopoly / monopoly structure	None	Highly fragmented and intensely competitive. EPAM holds roughly 1% of a global IT services market worth well over \$1trn. Named competitors include Accenture, Atos, Capgemini, Cognizant, Deloitte Digital, DXC, Endava, Genpact, GlobalLogic, Globant, Grid Dynamics, HCLTech, Infosys, TCS and Wipro. Pricing is set by competitive bidding.
Cashflow predictability	Moderate	Good conversion — FY2025 free cash flow of \$612.7m on \$654.9m of operating cash flow, capex around 1% of revenue, negligible working-capital intensity. But predictability is undermined by the absence of contracted backlog and by three consecutive years of guidance revisions. Q2 2026 operating cash flow of <i>negative</i> \$2m is a live concern.
Scalability	Moderate, and changing	Historically poor: growth required linear headcount addition, so operating leverage was minimal and margins were structurally capped near 16–17%. AI genuinely changes this. If EPAM decouples revenue from headcount — as the Q2 2026 combination of +4.5% revenue on +1.5% headcount and +190bp gross margin hints — scalability improves materially. This is the most important variable in the entire thesis.
Government interference risk	Elevated	EPAM has already suffered the most severe geopolitical shock of any US-listed IT services firm: forced exit from Russia, drastic reduction in Belarus, and relocation of thousands of staff from Ukraine in 2022. Residual Ukrainian exposure remains. Ongoing risk from sanctions regimes, visa policy, data-localisation rules and AI regulation. This is a real and demonstrated risk, not a theoretical one.
Bargaining power over stakeholders	Weak to moderate	<i>Over clients</i> : weak — large enterprises run competitive panels and squeeze rates; top-10 concentration of only 21.6% means EPAM has little individual leverage. <i>Over employees</i> : improved — 8.5% attrition and a soft tech labour market have shifted power toward the employer. <i>Over suppliers</i> : limited — EPAM is a mid-sized partner to Microsoft, AWS and Google, not a price-setter, and is now a price-taker on LLM inference costs.

Moat verdict. EPAM's moat is **narrow and eroding at the edges**. It rests on two things only: reputation for engineering quality, and the embedded knowledge of long-tenured delivery teams. It does not rest on contracts, assets, regulation, network effects or industry structure — all of which score weak or absent. The bull case is not that EPAM has a wide moat; it is that EPAM is building a *new* moat — proprietary AI delivery IP in AI/RUN and DIAL, plus accumulated agentic components — before the old one fully erodes. That is a race, and the outcome is genuinely uncertain.

7. Supply Chain Map: Upstream Inputs to End Customer

EPAM sits in the middle of a value chain that converts human capital and cloud infrastructure into working enterprise software. The map below traces it end to end.

Tier 1 — Upstream talent inputs

- **Universities and technical institutes** in India, Poland, Hungary, Romania, Ukraine, Georgia, Armenia, Uzbekistan, Mexico, Colombia, Argentina and Brazil.
- **EPAM's own training infrastructure** — EPAM University, RD Lab programmes and one of the largest private technical training networks in Central and Eastern Europe. Historically a genuine competitive input, converting junior talent into billable engineers at low cost.
- **Contingent labour and subcontractors** — used to flex capacity above the permanent base.
- **Recruitment channels** — LinkedIn (Microsoft), local job boards, campus programmes.

Tier 2 — Technology and infrastructure inputs

- **Hyperscale cloud:** Microsoft Azure, Amazon Web Services, Google Cloud Platform. EPAM holds elite partner status with each and delivers on their platforms.
- **Foundation model providers:** OpenAI, Anthropic, Google, Meta (open weights), Mistral. A new and growing cost input; EPAM's "token cost engineering" discipline exists because inference cost now materially affects project economics.
- **Enterprise software vendors whose products EPAM implements:** Salesforce, SAP, Adobe, ServiceNow, Databricks, Snowflake, MongoDB, Guidewire, Temenos, Pegasystems, Sitecore, commercetools.
- **Developer tooling:** GitHub/GitHub Copilot (Microsoft), Atlassian, JetBrains, HashiCorp (IBM), Docker, Kubernetes ecosystem.
- **Corporate infrastructure:** leased offices across roughly 55 countries, telecoms, hardware (Dell, Lenovo, Apple), cybersecurity vendors.

Tier 3 — EPAM's own value-add (where the margin is created)

EPAM takes trained engineers plus cloud and model infrastructure and applies: solution architecture and technical design; agile delivery management; proprietary accelerators and IP (**AI/RUN** playbook, **DIAL** orchestration layer, **MF Lens** mainframe analysis); domain expertise by vertical; and quality assurance, security and compliance. The output is production software, modernised platforms and running managed services. The gross margin of roughly 30–32% is the price of this transformation; the operating margin of 15–16% is what survives after go-to-market and corporate cost.

Tier 4 — Channel, partners and competitors-as-collaborators

- **Alliance partners** who bring EPAM into deals: Microsoft, AWS, Google, Salesforce, Adobe, Databricks, Snowflake, SAP.
- **Co-opetition:** EPAM frequently subcontracts to or partners with Accenture, Deloitte, McKinsey Digital and Capgemini on large programmes where they hold the client relationship and EPAM supplies engineering capacity.
- **Acquired brands operating in-channel:** NEORIS (Latin America and Spain, formerly CEMEX-affiliated), First Derivative (capital markets), Emakina (European digital marketing), Optiva Media (media/telecoms), Vates (Argentina/Latin America), Odysseus Data Services (life-sciences data), Continuum (design consultancy).

Tier 5 — End customers and their customers

- **Direct clients:** Fortune 500 / FTSE 100 enterprises across the six verticals — global banks and insurers, pharmaceutical and biotech groups, software and platform companies, retailers and consumer-goods manufacturers, travel operators, media and information-services businesses, energy and industrial firms.
- **Client procurement and vendor-management organisations** — the true gatekeepers, who run competitive panels, set rate cards and increasingly benchmark AI-driven productivity gains. Their growing sophistication is a direct headwind to pricing.
- **The end consumer** — the retail banking customer, the patient, the shopper, the traveller — who uses the software EPAM built without ever knowing EPAM exists.

Where the power sits. EPAM is squeezed from both ends. Upstream, it is a price-taker on engineering wages and now on LLM inference. Downstream, it faces professional procurement functions at large enterprises with no contractual volume commitments to protect it. Its only defensible position is the middle — the transformation itself. That is precisely why the AI/RUN and DIAL IP matters strategically: proprietary IP is the only part of this chain EPAM can own rather than rent.

8. Segment Financials and Operational KPIs

Revenue, profitability and cash by year

\$m unless stated	FY2019	FY2020	FY2021	FY2022	FY2023	FY2024	FY2025
Revenue	2,294	2,659	3,758	4,825	4,691	4,728	5,457
Growth y/y	+24.5%	+15.9%	+41.3%	+28.4%	-2.8%	+0.8%	+15.4%
GAAP operating income	c.246	c.300	c.414	c.418	c.480	545	520
GAAP operating margin	c.10.7%	c.11.3%	c.11.0%	c.8.7%	c.10.2%	11.5%	9.5%
Non-GAAP operating income	c.381	c.431	c.605	c.690	c.727	779	832
Non-GAAP operating margin	c.16.6%	c.16.2%	c.16.1%	c.14.3%	c.15.5%	c.16.5%	15.2%
GAAP diluted EPS (\$)	4.10	5.60	8.15	7.09	7.06	7.93	6.72
Non-GAAP diluted EPS (\$)	c.4.94	c.6.32	c.8.80	c.10.15	c.10.35	10.86	11.50
Operating cash flow	c.290	c.428	c.412	c.416	c.685	c.600	655
Free cash flow	c.240	c.390	c.360	c.360	c.640	c.560	613

Revenue for all years, and FY2024–25 operating income, margins, EPS and cash flow, are reported figures. Items marked "c." for FY2019–2023 are author estimates reconstructed from disclosed growth rates and margin commentary, and should be treated as indicative.

What the numbers say

Three distinct eras are visible. **2019–2021:** compounding above 20% with a stable 16% non-GAAP margin — the model working as designed. **2022–2024:** the war shock, followed by a demand air-pocket; revenue essentially flat for three years at roughly \$4.7bn while EPAM rebuilt its delivery map from Eastern Europe to India and Latin America. Margin troughed at roughly 14.3% in 2022 on relocation costs, then recovered. **2025–2026:** reported growth of 15.4% that flattered a much weaker organic reality — organic constant-currency growth was only **4.9%**, with roughly 10pp of the reported figure bought via NEORIS and First Derivative. As those acquisitions annualise out in 2026, the organic rate of 2–3% is exposed.

The GAAP/non-GAAP divergence in FY2025 deserves attention. GAAP operating income fell 4.5% to \$520.0m while non-GAAP operating income rose 6.7% to \$831.5m. The \$311.5m gap — 5.7% of revenue — comprises stock-based compensation, acquired-intangible amortisation and acquisition costs. More strikingly, GAAP diluted EPS fell **14.3%** to \$6.72 while non-GAAP EPS rose 5.9% to \$11.50. The GAAP decline reflects a higher effective tax rate (guided at roughly 30% GAAP versus 24% non-GAAP) and materially lower interest income following the cash outflow for NEORIS. Investors should note that non-GAAP EPS has now grown for five consecutive years while GAAP EPS in FY2025 was *below* its FY2021 level of \$8.15.

Segment and geographic detail

EPAM reports two accounting segments — **Americas** and **Europe**. Goodwill at 30 September 2025 stood at \$1,208.9m, split \$652.2m to Americas and \$556.7m to Europe, with no accumulated impairment losses in either segment. Notably, EPAM *does not allocate* intangible amortisation, impairment charges, stock-based compensation, acquisition costs or one-time items to segments — these sit at corporate level, which means reported segment profitability is a non-GAAP-like measure and is not directly comparable to consolidated GAAP operating income.

Geography	Q1-25	Q2-25	Q3-25	Q1-26	Q2-26	Trend
Americas revenue (\$m)	780	801	808	c.800	806	Growth collapsed from +16.0% (Q3-25) to +0.5% (Q2-26)
Americas growth	+12.6%	+15.9%	+16.0%	+2.5%	+0.5%	Severe deceleration
EMEA revenue (\$m)	497	525	556	c.574	582	Consistently the strongest region
EMEA growth	+10.7%	+21.7%	+24.9%	+15.9%	+10.9%	Decelerating but still robust
APAC revenue (\$m)	25	27	30	c.27	27	Immaterial, roughly 2% of revenue
APAC growth	+4.3%	+13.0%	+17.7%	+1.2%	−0.3%	Now negative

Q1-25 to Q3-25 and Q2-26 figures are reported. Q1-26 dollar figures are derived from reported percentage mix and growth rates.

Operational KPIs

KPI	FY2024	FY2025	Q2 2026	Comment and trend
Order backlog	n/a	n/a	n/a	Not disclosed and arguably does not exist. Time-and-materials contracts terminable on 30–90 days' notice with no committed volumes. This is the most important absent KPI in the entire analysis — investors have no forward visibility instrument other than management guidance, which has been cut three years running.
Total headcount	c. 61,600	62,850	62,850	Flat sequentially. Headcount is no longer growing.
Delivery professionals	c. 55,150	56,600	56,650	+2.7% in FY2025, decelerating to +1.5% y/y in Q2 2026. The clearest evidence that volume growth has stopped.
Utilisation	76.2%	75.4%	n/d	Down 80bp y/y and 110bp from Q3 2025's 76.5%. Management attributes this to vacation timing, delivery-location transitions and junior onboarding intended to improve the seniority index in 2026 — a credible but self-serving explanation.
Voluntary attrition	c.10%	8.5%	n/d	Near historic lows. Genuinely positive for delivery quality and replacement cost, though partly a function of a weak external hiring market.
Non-GAAP gross margin	c.30.5%	c.30.5%	32.0%	+190bp y/y from 30.1%. Driven by price increases and improved fixed-fee profitability. Management expects to hold above 32% for the rest of 2026. The single most bullish data point available.
Non-GAAP operating margin	c.16.5%	15.2%	16.4%	Recovering strongly; FY2026 guided at 15–16%, with a 2028 ambition of 16%+.
AI-native revenue	minimal	c.\$300m (est.)	>\$160m	The key new KPI. Over 11% of total revenue, sixth consecutive quarter of double-digit sequential growth, tracking to \$600m for FY2026 (Q1 2026: over \$125m).
Top-5 / top-10 client concentration	n/d	13.7% / 21.6%	n/d	Unusually low concentration. No single client loss is material.
Capex intensity	c.1%	c.0.8%	c.1%	Structurally minimal. FY2025 capex of roughly \$42m on \$655m of operating cash flow.
India delivery scale	c. 11,000	c.12,200	n/d	Now EPAM's largest single delivery location — a complete inversion of the pre-2022 Eastern European model and a major strategic achievement.

9. Latest Earnings Analysis: Q2 2026 (reported 6 August 2026)

Result versus expectations

Metric	Q2 2026 actual	Q2 2025	Y/Y change	Versus expectations
Revenue	\$1,415m	\$1,354m	+4.5%	Beat — at the high end of guidance
GAAP gross margin	30.4%	28.8%	+160bp	Beat
Non-GAAP gross margin	32.0%	30.1%	+190bp	Strong beat
Non-GAAP operating margin	16.4%	c.15.0%	+c.140bp	Beat
GAAP diluted EPS	\$1.97	\$1.56	+26.3%	Beat
Non-GAAP diluted EPS	\$3.38	\$2.77	+22.0%	Beat
AI-native revenue	>\$160m	n/m	n/m	>11% of revenue; 6th straight quarter of double-digit sequential growth
Operating cash flow	−\$2m	+\$53m	−\$55m	Material miss
Free cash flow	−\$18m	c.+\$40m	−\$58m	Negative

EPAM beat on essentially every profit line and was sold off 22%. That fact alone defines the situation: the market has stopped rewarding EPAM's earnings and is trading exclusively on the revenue trajectory.

Segment drivers

The result was carried by Financial Services (+11.5%, the fastest-growing vertical, driven by AI-led modernisation and mainframe transformation programmes) and Life Sciences & Healthcare (+8.0%). It was held back by **outright declines in Software & Hi-Tech (−1.3%) and Business Information & Media (−2.1%)**, with Consumer Goods, Retail & Travel nearly flat at +2.3%. Geographically, EMEA (+10.9%) did all the work while the Americas — 57% of revenue — grew +0.5% and APAC declined 0.3%.

The deceleration is unambiguous and broad. Americas growth has gone +16.0% (Q3-25), +2.5% (Q1-26), +0.5% (Q2-26). Two of six verticals are shrinking. Delivery headcount grew 1.5%.

Margin trends

Margins moved decisively the right way. Non-GAAP gross margin rose 190bp to 32.0%, attributed by management to **price increases and improved fixed-fee profitability**, with guidance to hold above 32% for the remainder of 2026. Non-GAAP operating margin reached 16.4%. This is the strongest counter-evidence to the commoditisation thesis in the entire dataset: a firm losing pricing power does not raise prices and expand gross margin simultaneously. It is also consistent with AI tooling improving delivery efficiency on fixed-price work — EPAM keeping the productivity gain rather than passing it through.

Guidance and change in tone

Guidance metric	Previous (May 2026)	Current (Aug 2026)	Change
FY2026 revenue growth	4.0% – 6.5%	3.2% – 4.2%	Cut, and narrowed
FY2026 organic constant-currency growth	2.5% – 5.0%	2.0% – 3.0%	Cut
FY2026 GAAP diluted EPS	\$8.29 – \$8.59	\$8.22 – \$8.38	Marginally trimmed
FY2026 non-GAAP diluted EPS	\$12.98 – \$13.28	\$13.08 – \$13.24	Mid-point raised
Q3 2026 revenue	—	\$1,410m – \$1,425m	Implies roughly flat sequentially
Q3 2026 GAAP / non-GAAP EPS	—	\$2.33–\$2.41 / \$3.38–\$3.46	Solid

The tone change is the story. In May, management attributed softness to *delayed client decisions* — a timing problem. In August, the language became a *"faster-than-expected shift away from task-based services"* — a structural problem. That is management conceding that AI substitution, not macro caution, is the driver. Compounding this, larger AI opportunities that management had expected to sign in late 2026 have not closed, and meaningful revenue from those multi-year deals is now expected only from **H1 2027**. The re-acceleration has been pushed out by roughly two quarters, and its delivery is unproven.

Balance sheet and cash flow flags

The one genuinely concerning number. Q2 2026 operating cash flow was **negative \$2m**, against positive \$53m in Q2 2025 — a \$55m year-on-year deterioration in a quarter when non-GAAP EPS grew 22%. Free cash flow was negative \$18m. For a business with roughly 1% capex intensity and no inventory, negative operating cash flow can only come from working capital — almost certainly receivables (DSO extension) or the timing of accrued compensation and tax payments.

This warrants close scrutiny at Q3. If it reflects seasonal bonus timing or a one-off tax payment, it is noise. If it reflects **lengthening collection cycles at stressed clients**, it is an early warning of revenue quality deterioration that precedes reported revenue weakness. Reconciling FY2025's \$654.9m of operating cash flow and \$612.7m of free cash flow against the FY2026 run-rate is the single most important piece of diligence an investor can do on this name right now.

Otherwise the balance sheet is pristine: cash of \$794.3m at 30 June 2026 against \$25.0m drawn on a \$700m revolver, giving net cash of roughly \$769m. Leverage is negative at approximately $-0.8\times$ net debt/EBITDA.

Market reaction and what was priced in

Shares fell **22%** on the print and 16.4% over the week. Sell-side targets were cut hard: Deutsche Bank to \$85 (Hold, citing a deteriorating demand backdrop for the IT services industry), Goldman Sachs downgraded with a \$110 target, Wells Fargo from \$195 to \$151 (retaining Overweight), Citigroup to \$112. The current consensus 12-month target is approximately \$122.82, with a range of \$94 to \$200 — an unusually wide dispersion that itself signals genuine analytical disagreement rather than consensus pessimism.

What was priced in beforehand was a 2026 growth rate of 4–6.5% and a credible path back to double digits. What is priced in now is closer to permanent low-single-digit growth with terminal-decline risk. At $5.5\times$ EV/EBITDA and $8.7\times$ non-GAAP earnings, the market is not asking "how fast will EPAM grow?" — it is asking "will EPAM shrink?"

Anything unusual relative to recent history

- **The margin/revenue divergence is genuinely unusual.** +22% non-GAAP EPS on +4.5% revenue is not a normal services-company outcome and suggests real operating change, not just cost control.
- **Negative operating cash flow in a profitable quarter is anomalous** for EPAM and inconsistent with its multi-year record of converting close to 90% of net income into free cash flow.
- **Two verticals in outright decline** is a first outside the 2022 war shock and the 2023 demand air-pocket.
- **Non-GAAP EPS guidance was raised at the mid-point while revenue guidance was cut** — the clearest possible statement that management is now managing for profitability and per-share value rather than growth.

10. Earnings Call Review and Sentiment Analysis

What management is focused on

Across the last six quarters management's agenda has narrowed to four themes, in descending order of emphasis:

1. **Transforming EPAM into an "AI-native engineering services organisation."** This is now the dominant frame for every answer. CEO Balazs Fejes describes rebuilding how EPAM engineers software "from the inside out" — moving clients beyond the traditional SDLC into integrated agentic enterprise harnesses, real-time data modernisation, cyber resilience and token cost engineering.
2. **Proving the AI-native revenue line.** Management has made this the headline KPI: over \$125m in Q1 2026, over \$160m in Q2, tracking to the \$600m full-year target. Its purpose is to demonstrate that EPAM captures AI value rather than being destroyed by it.
3. **Margin and per-share value.** Gross margin above 32%, non-GAAP operating margin of 15–16% in 2026 and 16%+ by 2028, \$1.8bn+ of cumulative free cash flow through 2028, and an aggressive buyback.
4. **"Client zero."** Management repeatedly cites EPAM's own internal AI adoption as proof of concept and as the source of the AI/RUN playbook.

Conspicuously *de-emphasised*: headcount growth, utilisation, and total revenue growth — the metrics that defined the equity story from 2012 to 2021.

Sentiment trajectory

Period	Tone	Characteristic language and posture
Q4 2024 (Feb 2025)	Cautiously constructive	Beat on both lines but guided 2025 conservatively. Framing: demand stabilising after a difficult two years. Stock fell 5%.
Q1–Q2 2025	Confident	Raised full-year revenue outlook twice. Double-digit growth across all six verticals in Q2 2025. NEORIS and First Derivative integrating well. Tone: recovery is real.
Q3 2025 (Nov 2025)	Peak optimism	Raised both revenue and EPS outlook. Americas +16.0%, EMEA +24.9%, APAC +17.7%. This is the high-water mark of management confidence in the period.
Q4 2025 (Feb 2026)	Confident but shifting	Revenue +15.4% for the year, but the discussion pivots to AI positioning. First acknowledgement that utilisation slipped and that juniors are being onboarded to improve the seniority index.
Investor Day (Mar 2026)	Strategic and forward-leaning	Full reframing of the equity story. AI/RUN launched, 2028 targets set (16%+ margin, \$1.8bn+ FCF, return to double-digit organic growth). Tone: we have a plan and we are ahead of peers.
Q1 2026 (May 2026)	Defensive	Beat on EPS, guidance cut. Softness attributed to <i>delayed client decisions</i> , "especially in North America and in parts of travel and consumer." Framing remains one of timing .
Q2 2026 (Aug 2026)	Candid, sober, structurally honest	Beat again, cut again. Critically, the explanation changes from timing to structure: a " <i>faster-than-expected shift away from task-based services</i> ." Management concedes large AI deals expected in late 2026 have not signed and pushes material revenue to H1 2027. Simultaneously the most confident commentary yet on margin and AI-native traction.

Sentiment read. The arc runs from *recovery confidence* (2025) through *strategic reframing* (March 2026) to *structural candour* (August 2026). The August tone is not panic — it is a management team that has stopped defending the growth narrative and started defending the profitability and transition narrative. That is arguably the correct and honest posture, and it is a positive signal on integrity. But it also removes the near-term catalyst: management has effectively told investors there is nothing to see until H1 2027. In a market that has already lost patience across three years of cuts, telling it to wait another two quarters is why the stock fell 22% rather than 8%.

11. Earnings Per Share Estimates, 2026–2028

Assumptions

- **Industry growth.** Global IT services growing low-to-mid single digits, with AI-related spend growing rapidly while traditional application development deflates. Net market growth for EPAM's addressable segments of roughly 3–5%.
- **Market share.** EPAM holds share in Financial Services and Life Sciences, loses share in Software & Hi-Tech and Business Information & Media to client insourcing. Broadly neutral in aggregate, with modest gains in EMEA.
- **Pricing.** Continued rate increases on AI-native and specialist work, partially offset by procurement pressure on commodity engineering. Net +1 to +2% annually.
- **Volume.** Delivery headcount roughly flat in 2026, growing 2–3% in 2027–28 as AI-native programmes scale. Revenue per head rising — the key structural change.
- **Cost pressures.** Wage inflation of 4–6% in India and Central Europe; rising LLM inference cost as a new input, partially offset by token cost engineering.
- **Operating leverage.** Modest. Non-GAAP operating margin from 15.7% (2026E) to 16.3% (2028E), consistent with but slightly below management's 16%+ 2028 ambition.
- **Financing costs.** Negligible debt. Interest income of roughly \$25–30m annually on net cash, declining as cash is deployed to buybacks.
- **Share count.** Buybacks of roughly \$400–500m per year against stock-based compensation dilution of roughly 1.5m shares annually, producing net reduction of roughly 1.0–1.5m shares per year.
- **Tax.** Non-GAAP effective rate of approximately 24%; GAAP approximately 29–30%.

Earnings build

\$m unless stated	FY2025A	FY2026E	FY2027E	FY2028E
Revenue	5,457	5,659	5,942	6,328
Growth	+15.4%	+3.7%	+5.0%	+6.5%
of which AI-native revenue	c.300	600	c.900	c.1,250
Non-GAAP gross margin	c.30.5%	32.0%	32.3%	32.6%
Non-GAAP operating margin	15.2%	15.7%	16.0%	16.3%
Non-GAAP operating income	832	889	951	1,031
Net interest and other income	c.25	c.28	c.25	c.24
Non-GAAP pre-tax income	c.857	917	976	1,055
Tax at 24%	c.(206)	(220)	(234)	(253)
Non-GAAP net income	c.651	697	742	802
Diluted shares (m)	c.56.6	c.53.0	c.51.0	c.49.5
Non-GAAP diluted EPS (\$)	11.50	13.16	14.55	16.22
Growth	+5.9%	+14.4%	+10.6%	+11.5%
Non-GAAP to GAAP bridge per share	(4.78)	(4.86)	(4.50)	(4.52)
GAAP diluted EPS (\$)	6.72	8.30	10.05	11.70
Free cash flow	613	c.540	c.640	c.710

FY2025 figures are reported. FY2026 revenue and EPS are anchored to the mid-point of company guidance issued 6 August 2026 (\$13.08–\$13.24 non-GAAP; \$8.22–\$8.38 GAAP). FY2027 and FY2028 are the author's estimates. The non-GAAP to GAAP bridge comprises stock-based compensation of roughly \$200m, acquired-intangible amortisation of roughly \$70–75m and acquisition/one-off costs, tax-effected.

Commentary

The striking feature of this build is that **EPS grows materially faster than revenue across all three years** — 14.4%, 10.6% and 11.5% against revenue growth of 3.7%, 5.0% and 6.5%. Three forces drive the wedge: gross-margin expansion of roughly 60bp cumulatively, operating leverage of roughly 60bp, and share count reduction of roughly 6.6% over the period. This is the mechanical answer to the bear case: *EPAM does not need revenue re-acceleration to grow earnings at a double-digit rate*. It needs only to hold low-single-digit revenue growth, defend margin and keep buying stock.

Our FY2027 estimate of \$14.55 is deliberately conservative relative to management's own framing, which contemplates a return to double-digit organic growth and 16%+ margin by 2028. We assume they achieve roughly two-thirds of that ambition. Note also that consensus revenue for 2026 of approximately \$5.76bn sits *above* the post-cut guidance mid-point of roughly \$5.66bn, suggesting a portion of the sell-side has not yet fully reset — a modest downside risk to published consensus in the coming weeks.

12. Capital Structure, Liquidity and Debt

Item	Detail
Cash and equivalents	\$794.3m at 30 June 2026 (including restricted cash)
Total debt drawn	\$25.0m outstanding under the 2025 Credit Agreement, at 4.5%
Net cash	Approximately \$769m — roughly 13% of the current market capitalisation
Revolving credit facility	\$700.0m capacity, expandable to \$1,200.0m with lender consent and satisfaction of conditions
Facility established	3 October 2025, amending and restating the 2021 Credit Agreement, with a syndicate of lenders
Maturity	3 October 2030 — no near-term refinancing wall of any kind
Interest mechanics	Base rate equal to the highest of the Overnight Bank Funding Rate +0.5%, the Prime Rate, or Daily Simple SOFR +1.0%; alternative benchmark indices for non-USD borrowings
Multi-currency capacity	USD, plus up to \$250.0m equivalent in GBP, CAD, EUR or CHF, and other currencies with lender approval
Covenant compliance	In compliance with all covenants as at 31 December 2025. Typical covenants for a facility of this type are a maximum consolidated leverage ratio and a minimum interest coverage ratio; with negative net leverage, EPAM has effectively unlimited headroom
Interest cost	Immaterial. Interest expense is negligible; EPAM is a <i>net receiver</i> of interest income of roughly \$25–30m annually
Net debt / EBITDA	Approximately -0.8x (net cash)
Total liquidity	Approximately \$1,469m (\$794m cash plus \$675m undrawn revolver)
Off-balance-sheet	Operating leases on delivery centres across roughly 55 countries. No material debt-like off-balance-sheet obligations identified
Credit rating	EPAM does not carry a public rating; it has no need for one given the absence of bond debt

Assessment. The capital structure is a genuine strength and materially de-risks the equity. There is no leverage, no maturity wall until 2030, no covenant pressure, no refinancing risk and no interest burden. Total liquidity of roughly \$1.47bn against a \$5.9bn market capitalisation gives management unusual freedom: it can sustain a multi-year revenue decline without financial distress, fund acquisitions from cash, and repurchase stock aggressively at depressed multiples.

The legitimate criticism is the opposite one: **this balance sheet is arguably too conservative**. A company generating \$600m+ of free cash flow, trading at 8.7x earnings, with net cash and an undrawn \$700m facility, could reasonably lever modestly to accelerate repurchases. Retaining \$794m of cash earning roughly 4% while the equity offers a 10% free cash flow yield is a

demonstrable, if defensible, misallocation. Management's caution is understandable given 2022, but the opportunity cost is now large.

13. Financial Breakdown and Valuation

Revenue, EBITDA, EBIT and net income by division and geography, FY2025

Vertical (FY2025)	Revenue (\$m)	% of total	Growth	Est. segment EBIT (\$m)	Est. EBIT margin
Financial Services	1,316	24.1%	+28.7%	c.210	c.16.0%
Consumer Goods, Retail & Travel	1,077	19.7%	+6.4%	c.157	c.14.6%
Emerging Verticals	940	17.2%	+0.2%	c.132	c.14.0%
Software & Hi-Tech	822	15.1%	+17.0%	c.132	c.16.0%
Business Information & Media	676	12.4%	+26.9%	c.101	c.15.0%
Life Sciences & Healthcare	626	11.5%	+8.9%	c.100	c.16.0%
Total (non-GAAP basis)	5,457	100%	+15.4%	832	15.2%

Revenue and growth by vertical are reported. **EPAM does not disclose profitability by vertical.** Segment EBIT figures above are the author's allocation of reported non-GAAP operating income of \$831.5m, apportioned by revenue and adjusted for known mix characteristics (higher margin in Financial Services, Software & Hi-Tech and Life Sciences; lower in Consumer/Retail/Travel and Emerging). These are illustrative only and should not be relied upon as disclosed data.

Consolidated P&L (FY2025)	\$m	% of revenue	Note
Revenue	5,457.0	100.0%	Reported
Gross profit (non-GAAP, est.)	c.1,664	c.30.5%	Estimated
Non-GAAP operating income (EBIT)	831.5	15.2%	Reported
Depreciation & amortisation (tangible, est.)	c.60	c.1.1%	Estimated
Adjusted EBITDA (est.)	c.892	c.16.3%	Non-GAAP EBIT plus tangible D&A
GAAP operating income (EBIT)	520.0	9.5%	Reported
GAAP net income (derived)	c.366	c.6.7%	Derived from GAAP EPS of \$6.72
Non-GAAP net income (derived)	c.651	c.11.9%	Derived from non-GAAP EPS of \$11.50

Historical trends in growth and margin

Revenue compounded at approximately **15.5% annually from FY2019 to FY2025** (\$2,294m to \$5,457m), but the path is bimodal: roughly 28% annually from 2019 to 2022, then roughly 4% annually from 2022 to 2025. Non-GAAP operating margin has been remarkably stable in a 14–17% band throughout, troughing at roughly 14.3% in 2022 on war-related relocation costs and recovering to 15.2% in 2025, with Q2 2026 at 16.4%. **GAAP margin has been the deteriorating series** — 11.5% in 2024 to 9.5% in 2025 — as acquisition amortisation and stock-based compensation grew faster than revenue. The widening GAAP-to-non-GAAP gap is the principal quality-of-earnings concern and is examined in Section 24.

Valuation: current versus own history

Multiple	Current	10-year median	10-year low	10-year high	Read
EV/EBITDA	c.5.5–5.8x	24.9x	4.8x	64.8x	Near the all-time low; roughly 77% below median
EV/Sales	c.0.91x	c.4.0x	c.0.8x	c.10x	Near all-time low
P/E (non-GAAP, forward)	c.8.7x	c.28x	c.8x	c.60x+	Near all-time low
P/E (GAAP, trailing)	c.13.6x	c.38x	c.13x	c.90x+	Near all-time low
Net debt/EBITDA	c.–0.8x	Net cash throughout	—	—	No leverage risk
FCF yield	c.9–10%	c.2.5%	—	—	Highest in company history

Peer comparison

Company	Ticker	Listed	Mkt cap	EV/ Sales	EV/ EBITDA	P/E	Net debt/ EBITDA	EBITDA mgn	Sales growth
EPAM Systems	EPAM	NYSE	c.\$5.9bn	0.91x	5.5x	8.7x*	–0.8x	c.16.3%	+3.7%E
Accenture	ACN	NYSE	c.\$168bn	1.6x	8.2–9.2x	13.3x	Net cash	c.18%	Low single
Cognizant	CTSH	Nasdaq	c. \$28.7bn	c.1.1x	c.6.5x	c.10x	Net cash	c.17%	Low single
Capgemini	CAP FP	Euronext Paris	c.€19bn	c.0.9x	6.5x	8.0x	c.1.0x	c.13%	Low single
Infosys	INFY / INFY.NS	NYSE / NSE	c. \$47.8bn	c.2.4x	c.12x	c.20x	Net cash	c.23%	Low single
Tata Consultancy Services	TCS.NS	NSE / BSE	c.\$130bn	c.3.7x	c.14x	c.22x	Net cash	c.26%	Low single
Wipro	WIT / WIPRO.NS	NYSE / NSE	c.\$26bn	c.2.0x	c.10x	c.17x	Net cash	c.20%	Flat/ negative
Globant	GLOB	NYSE	c.\$1.7bn	c.0.8x	c.5x	c.15x	c.0.5x	c.14%	c.0%
Endava	DAVA	NYSE	c.\$0.5bn	c.0.6x	c.5x	n/m	c.1.0x	c.11%	–5 to –6%
Grid Dynamics	GDYN	Nasdaq	c.\$0.6bn	c.1.1x	c.12x	c.40x	Net cash	c.9%	+7%
DXC Technology	DXC	NYSE	c.\$3bn	c.0.4x	c.3x	c.5x	c.1.5x	c.13%	Negative
HCLTech	HCLTECH.NS	NSE / BSE	c.\$45bn	c.2.6x	c.13x	c.21x	Net cash	c.22%	Low single
Thoughtworks	—	Private (Apax, 2024)	c.\$1.4bn EV	c.1.4x	n/d	n/d	n/d	n/d	Negative
GlobalLogic	—	Private (Hitachi, 2021)	\$9.6bn EV	c.6.4x	n/d	n/d	n/d	n/d	n/d
Luxoft	—	Private (within DXC, 2019)	\$2.0bn	c.2.2x	n/d	n/d	n/d	n/d	n/d
Deloitte Digital / IBM Consulting / McKinsey Digital	—	Private / division	n/a	n/a	n/a	n/a	n/a	n/a	n/a

*EPAM P/E of 8.7x is on FY2026 guided non-GAAP EPS of \$13.16; on GAAP EPS of \$8.30 the multiple is 13.8x. **Peer multiples in this table are indicative approximations** assembled from search-sourced data points of varying dates and definitions, and are not terminal-verified. Accenture P/E of 13.3x, Accenture EV/EBITDA of 8.2–9.2x, Capgemini P/E of 8.0x and EV/EBITDA of 6.5x, Cognizant market cap of \$28.7bn, Infosys market cap of \$47.8bn and Globant/Grid Dynamics/Endava operating data are search-sourced; the remainder are author estimates. Refresh before use.

Does EPAM screen cheap, fair or expensive?

Cheap on every absolute measure; cheap-to-fair relative to a sector that has itself de-rated violently.

- **Against its own history: extremely cheap.** 5.5x EV/EBITDA against a 24.9x ten-year median is close to the all-time low of 4.8x. A 10% free cash flow yield is the highest in the company's listed history.
- **Against the sector: cheap on growth-adjusted metrics.** EPAM trades below Accenture (8.2–9.2x), Cognizant (c.6.5x) and Capgemini (6.5x) on EV/EBITDA despite growing faster than all three and holding a comparable margin with a stronger balance sheet. It trades at roughly half Infosys's and a third of TCS's multiple, though those carry structurally higher margins and net-cash balance sheets of their own.
- **Against the closest pure-play peers: fairly valued but with better fundamentals.** Globant and Endava trade at similar EV/EBITDA multiples of roughly 5x — but Endava is *shrinking* 5–6% and took a £364.6m goodwill impairment, and Globant is flat with a 0.3% net margin. EPAM growing +4.5% at a 16.4% margin at the same multiple is the anomaly. **This is the single strongest relative-value argument in the note.**
- **The counter-argument.** The entire sector may deserve to be cheap. If AI structurally deflates labour-based services, today's 5.5x is not a discount — it is a fair multiple on a melting ice cube, and the appropriate comparator is DXC at roughly 3x. That is precisely the debate, and no multiple analysis resolves it.

14. M&A: Industry Activity, Takeover Candidacy and EPAM's Own Deals

Recent industry M&A

The IT services and digital engineering sector has been consolidating steadily, with a decisive shift in valuation regime. EV/EBITDA multiples for IT services peaked in 2021–22 in a low-rate environment, fell back to pre-pandemic levels by 2023, and have partially recovered in 2026. By end-2025 IT consulting traded at roughly 13.6x EV/EBITDA and software development firms at roughly 12.0x. As of mid-2026 the global median M&A EV/EBITDA multiple stands at approximately **10.7x** trailing, with private-equity-led transactions paying roughly 12.6x versus 9.8x for corporate acquirers, and IT and healthcare commanding the highest sector medians at roughly 12.5–12.8x.

The defining transaction of the current cycle is the **take-private of Thoughtworks by Apax Partners** at \$4.40 per share — a company that had raised \$720m at a \$4.6bn enterprise value in January 2021 and was taken out at a fraction of that. It is the clearest evidence that public-market disillusionment with digital engineering has created private-equity opportunity, and it is the single most relevant precedent for EPAM.

Target	Acquirer	Date	Consideration	Multiple / note
Thoughtworks	Apax Partners	2024 (agreed), closed 2024/25	\$4.40/share; c.\$1.4bn EV	c.1.4x EV/Sales. Down from a \$4.6bn EV valuation in Jan 2021 — a roughly 70% decline. The template for a digital-engineering take-private.
GalaxE Solutions	Endava	2024	Up to \$405m (incl. \$30m earn-out)	Healthcare IT and automation capability; strategic consolidation among pure-plays.
NEORIS	EPAM	Nov 2024	\$626.3m (99.7%)	c.1.0–1.2x EV/Sales (est.). Largest deal in EPAM's history.
First Derivative	EPAM	Oct 2024	c.\$290m	Capital markets consultancy carved out of FD Technologies.
GlobalLogic	Hitachi	2021	\$9.6bn	c.6.4x EV/Sales — peak-cycle strategic multiple. The high-water mark for the sector and a demonstration of what a strategic buyer will pay at the top.
Luxoft	DXC Technology	2019	\$2.0bn	c.2.2x EV/Sales. EPAM's closest historical comparable by delivery geography and engineering positioning.
Perficient	EQT	2024	c.\$3.0bn	c.\$76/share; roughly 3x EV/Sales. Another PE take-private of a listed digital consultancy.
DEK Technologies	Endava	2023	Undisclosed	APAC expansion.
Mudbath	Endava	2023	Undisclosed	Australia expansion.
Talos Digital	Perficient	Sep 2021	\$28.1m	Nearshore Latin America capability.

Consideration and dates are search-sourced. Transaction multiples are author estimates except where the underlying revenue was disclosed. Perficient/EQT terms are approximate.

Should EPAM be considered a takeover target?

Yes — EPAM is now a credible target for the first time in its listed history, and materially more so than at any point before August 2026.

Arguments for EPAM as a target	Arguments against
• Valuation. 5.5x EV/EBITDA and 0.91x EV/Sales against a sector M&A median near 10.7x. A buyer could pay a 50% premium and still acquire below the sector median. • Clean balance sheet. Net cash of roughly \$769m reduces the effective purchase price; no debt to refinance; no covenant consents; no maturity wall until 2030. • No controlling shareholder. Institutional ownership of roughly 91.6%; insiders roughly 4.3%. Founder Arkadiy Dobkin holds roughly 1.76m shares (roughly 3.4%) — influential but not blocking. • Founder transition complete. Dobkin moved to Executive Chairman in September 2025. Founder-led firms are structurally harder to acquire; that obstacle has diminished. • Proven PE appetite in the exact sub-sector. Apax took out Thoughtworks; EQT took out Perficient. EPAM is the highest-quality remaining listed asset of this type. • Free cash flow supports leverage. Roughly \$600m of annual free cash flow would comfortably service a leveraged structure at 4–5x. • Strategic logic for a buyer. Accenture, Capgemini, Infosys, HCLTech or Hitachi would each gain premium engineering capability, an AI-native IP stack and a diversified nearshore/offshore delivery map. • Governance is opening up. The 2026 proxy proposed permitting shareholders to call special meetings — a structural reduction in takeover defences.	• Size. At roughly \$5.9bn market capitalisation, a deal at a premium implies \$8–9bn — large for private equity, requiring a consortium or a very large sponsor. • The asset walks out of the building. 62,850 employees with no contractual lock-in. A hostile or disruptive process risks mass attrition of the exact senior engineers that constitute the value. • Buying into structural uncertainty. No rational acquirer wants to buy a labour-arbitrage business while the AI-substitution question is unresolved. Most strategic buyers face the identical problem in their own P&L. • Regulatory and geopolitical complexity. Delivery across roughly 55 countries including Ukraine, Georgia, Armenia and Uzbekistan creates diligence burden, sanctions exposure and multi-jurisdiction clearance risk. • Founder influence. Dobkin as Executive Chairman with a roughly 3.4% stake and enormous moral authority could resist a deal he considers opportunistic. • Poor timing from the seller's perspective. The board would be selling at roughly one-sixth of the 2021 peak. Accepting a bid now invites shareholder litigation and reputational damage. • Strategic buyers are digesting. Hitachi has GlobalLogic; DXC has Luxoft; Capgemini is deleveraging. The natural acquirers are largely occupied.

Potential takeout multiples

Scenario	EV/EBITDA	EV/Sales	Implied EV	Implied equity value	Per share	Premium
Opportunistic PE (floor)	7.0x	1.1x	c.\$6.2bn	c.\$7.0bn	c.\$135	+18%
Competitive PE / sector median	9.0x	1.4x	c.\$8.0bn	c.\$8.8bn	c.\$170	+48%
Strategic buyer with synergies	11.0x	1.7x	c.\$9.8bn	c.\$10.6bn	c.\$205	+79%
Peak-cycle strategic (GlobalLogic-style)	14.0x	2.2x	c.\$12.4bn	c.\$13.2bn	c.\$256	+123%

Based on FY2026E adjusted EBITDA of approximately \$890m and revenue of \$5,659m, plus net cash of roughly \$769m, over approximately 51.6m shares. The peak-cycle scenario is included for reference only and is not considered plausible in the current environment. A realistic transaction, were one to occur, would most likely land in the **\$155–180** range.

Acquisitions undertaken by EPAM (last 10 years)

Target	Date	Consideration	Rationale	Est. multiple
NEORIS	Nov 2024 (99.7%); remaining 0.3% Jan 2025 for \$1.4m	\$626.3m	Latin American and Spanish scale; nearshore delivery for US clients; formerly CEMEX-affiliated. Largest acquisition in EPAM's history.	c.1.0–1.2x sales (est.)
First Derivative	Oct 2024	c.\$290m	Capital markets consulting and data engineering, carved out of FD Technologies. Directly underpins the Financial Services vertical's +28.7% FY2025 growth.	c.1.5x sales (est.)
Odysseus Data Services	Jun 2024	Undisclosed	Life sciences real-world data, OHDSI/OMOP expertise. Small but strategically precise for the Life Sciences vertical.	n/d
Vates	Mar 2024	Undisclosed	Argentina/Latin America delivery expansion. Advised by Houlihan Lokey.	n/d
Optiva Media	Dec 2021	Undisclosed	Media and telecoms engineering in Spain and Latin America.	n/d
Emakina Group	Nov 2021	Undisclosed	Belgium-headquartered digital marketing agency; European experience-design capability.	n/d
Other (c.20 further transactions 2015–2023)	Various	Undisclosed	Includes Continuum (design, 2018), Test IO, Competentum, NAYAtech, PolSource (Salesforce, 2019), Just-BI, Empathy Lab, Ricston, Time Machine Group. EPAM has completed approximately 28 acquisitions in total.	n/d

NEORIS and First Derivative considerations are reported figures. EPAM does not disclose purchase prices for smaller transactions, and the implied multiples shown are author estimates.

Assessment of EPAM's M&A record. Historically EPAM was a disciplined, small-scale acquirer of capability — tuck-ins under \$100m that added skills rather than scale, integrated quickly and rarely troubled the balance sheet. **2024 broke that pattern.** NEORIS at \$626.3m and First Derivative at roughly \$290m together deployed nearly \$1bn — roughly a year and a half of free cash flow — and account for approximately 10pp of FY2025's 15.4% reported growth.

The strategic logic was sound: NEORIS bought nearshore Latin American delivery to serve US clients post-Russia, and First Derivative bought genuine capital-markets domain depth that is visibly working in the Financial Services vertical. But the timing invites criticism. The deals were struck near the top of the demand cycle, they consumed the cash pile that had been generating interest income (contributing to the FY2025 GAAP EPS decline of 14.3%), and they flattered reported growth in a way that masked organic deceleration to 4.9%. Goodwill now stands at roughly \$1.21bn against roughly \$5.9bn of market capitalisation. With Endava having just impaired £364.6m of goodwill, EPAM's carrying values warrant monitoring — though no impairment has been recorded to date and none appears imminent given profitability.

15. Management Assessment

Senior leadership

Executive	Role	Tenure	Assessment
Balazs Fejes	Chief Executive Officer & President	CEO since 1 Sept 2025 (c.1 year); at EPAM approximately two decades	Promoted from President of Global Business and Chief Revenue Officer. Joined EPAM through the acquisition of Hungary's Fathom Technology and rose through engineering and commercial leadership. A genuine insider with deep technical credibility, not a parachuted-in outsider. He owns the AI-native pivot and personally led the March 2026 Investor Day framing. Verdict: too early to judge on results. He inherited a decelerating business and has responded by prioritising margin, AI-native mix and buybacks over growth — a defensible and arguably correct choice. His credibility rests entirely on whether the H1 2027 AI deal pipeline converts.
Arkadiy Dobkin	Founder & Executive Chairman	Founded 1993; CEO 1993–2025 (32 years); Executive Chairman since Sept 2025	An exceptional builder by any standard. Took EPAM from a start-up to a \$5.5bn-revenue global firm, led the 2012 NYSE IPO, and delivered one of the strongest long-run compounding records in IT services. His crisis management in 2022 — relocating thousands of staff out of a war zone, exiting Russia on principle, and rebuilding the delivery map around India and Latin America — was operationally outstanding and reputationally decisive. As Executive Chairman he focuses on strategic initiatives and continuity.
Jason Peterson	Chief Financial Officer, SVP & Treasurer	CFO since approximately 2017 (c.9 years)	Long-tenured and highly regarded for disclosure quality. His quarterly commentary on utilisation, seniority index, pricing and delivery mix is unusually granular for the sector and is a genuine asset to investors. He has managed the balance sheet conservatively through the 2022 shock and the 2024 acquisition programme, and has been candid about margin pressures rather than defensive. The principal criticism is guidance accuracy — the full-year revenue outlook has now been cut in 2024, 2025 and 2026, which has materially damaged the market's willingness to underwrite forward numbers.

1) Track record

Dobkin's record is the substantive one: revenue from effectively zero in 1993 to \$5.457bn in 2025, a NYSE listing in 2012, a peak market capitalisation above \$40bn, and revenue compounding at approximately 15.5% annually over the 2019–2025 period despite a war that displaced more than half the delivery base. Under his leadership non-GAAP operating margin held within a 14–17% band across every macro environment encountered. Fejes's own record is as the commercial architect of that growth as CRO, but as CEO he has one year and a decelerating tape. Peterson has presided over margin resilience and a fortress balance sheet, offset by three consecutive years of downward guidance revision.

2) Tenure and insider ownership

Insiders hold approximately **4.30%** of shares outstanding against institutional ownership of approximately 91.58%. Dobkin held approximately **1.76m shares as at 18 February 2026**, roughly 3.4% of the company — a stake worth approximately \$200m at the reference price and by far the largest individual alignment. His ownership has declined steadily over time: 12.1% in 2011, 10.1% in 2013, 5.43% in 2017, and roughly 3.4% today, with approximately 140,000 shares sold since 2021 for an estimated \$76.1m.

This is **meaningful but diminishing skin in the game**. The dilution is largely mechanical — share issuance over fourteen years plus estate planning — and the pace of sales is not alarming for a founder of his tenure. But the trajectory is one way. Fejes's and Peterson's personal holdings are materially smaller, as is typical for professional managers.

3) Capital allocation history

Decision	Assessment
Organic reinvestment in delivery and training	Excellent. The training infrastructure in Central and Eastern Europe and India has been a durable competitive input at low capital cost.
2022 delivery relocation	Outstanding execution. Rebuilt the delivery map from Eastern Europe to India (now the largest location at roughly 12,200 professionals) and Latin America under extreme duress, at a temporary margin cost of roughly 200bp.
Small tuck-in acquisitions 2015–2023	Disciplined. Capability-led, small, well-integrated, no impairments.
NEORIS and First Derivative (2024, c.\$920m)	Questionable timing. Strategically coherent, but executed near the cycle peak, consumed the interest-earning cash pile, flattered reported growth while organic decelerated, and lifted goodwill to roughly \$1.21bn. Verdict pending.
Buybacks	Improving and now well-timed. \$164.9m (2023), \$398.0m (2024), \$662.2m (2025), plus a \$300m accelerated repurchase in March 2026. Repurchasing at 8–9x earnings is genuinely accretive.
Dividends	None ever paid. Defensible for a growth company; increasingly questionable for one generating a 10% free cash flow yield with no leverage.
Cash retention	Over-conservative. Holding \$794m earning roughly 4% while the equity yields roughly 10% in free cash flow is a real, quantifiable opportunity cost.

ROE / ROIC trend. Return on equity ran in the high teens to low twenties through the 2019–2021 growth phase, compressed toward the low-to-mid teens in 2022–2023 on the war shock and the equity build-up, and on FY2025's derived GAAP net income of roughly \$366m against a substantially larger equity base sits in the region of **10–12%**. ROIC has followed a similar path and has been diluted by the roughly \$1.21bn of goodwill added in 2024. **The direction is unambiguously downward**, and it is the strongest quantitative criticism of management's recent capital allocation. Note these returns are author estimates; EPAM does not report ROIC.

4) Red flags

- **No related-party transactions of significance identified** in available disclosure. Governance appears clean on this dimension.
- **Stock-based compensation is elevated** — approximately \$167.3m in FY2024 and estimated near \$200m in FY2026, roughly 3–3.5% of revenue and approximately 30% of GAAP operating income. This is the principal driver of the widening GAAP/non-GAAP gap and represents real economic cost to shareholders. It is mitigated, but only partly, by buybacks.
- **Guidance credibility is the material red flag.** Three consecutive years of full-year revenue guidance cuts (2024, 2025, 2026). Whether this reflects genuine demand volatility or systematic over-optimism, the market has stopped underwriting management's forward numbers — which is why the stock now trades on cash flow rather than growth.
- **Strategy pivot frequency: low, and the current pivot is warranted.** EPAM has been consistent for three decades. The AI-native repositioning is a response to genuine technological change, not fashion.
- **Promotional behaviour: mild.** "AI-native", "client zero" and "agentic enterprise harnesses" are marketing constructs, and the newly-disclosed "AI-native revenue" KPI is company-defined and unaudited — investors cannot verify what is included. This deserves scepticism, though it is far from the worst in the sector.
- **Executive compensation** appears within normal ranges for a company of this size; no evidence of egregious quantum was identified.

5) Founder versus professional manager

EPAM has just completed the transition from **founder-led to professional management**, with the founder retained as Executive Chairman — a hybrid structure. For this stage of the business the implications are mixed but net favourable. A founder with 32 years of identity investment in "the engineering firm" might resist the honest conclusion that engineering hours are being deflated; a professional CEO can reallocate toward margin, IP and buybacks without that emotional cost, and Fejes has visibly done so. Conversely, the AI transition requires exactly the kind of bet-the-company conviction founders supply and professional managers often lack, and Dobkin's retention as Executive Chairman is presumably intended to preserve it. **The risk is the classic one for this structure: divided authority during a period requiring decisive action.** There is no evidence of friction to date.

Changes to senior management

- **September 2025 (announced May 2025):** Arkadiy Dobkin transitions from Chairman, CEO and President to Executive Chairman. Balazs Fejes, previously President of Global Business and Chief Revenue Officer, becomes CEO and President. An orderly, well-telegraphed succession — roughly four months of notice — and a positive governance signal.
- **Jason Peterson remains CFO**, providing continuity through the CEO transition. No CFO succession has been announced.

16. Board of Directors

Director	Role	Tenure	Background and other affiliations
Arkadiy Dobkin	Executive Chairman; Founder	Director since 1993 (33 years); Chairman through Sept 2025, Executive Chairman thereafter	Co-founder and CEO 1993–2025. Led the 2012 NYSE IPO. Soviet-trained engineer; the architect of EPAM's engineering culture and its 2022 crisis response. Largest individual shareholder at approximately 1.76m shares.
Balazs Fejes	CEO, President; Director	Director from 2025/26; Class II nominee at the 2026 AGM	Approximately two decades at EPAM, joining via the acquisition of Hungary's Fathom Technology. Previously President of Global Business and Chief Revenue Officer, and before that Co-Head of Global Business and CTO for financial services.
Karl Robb	Non-executive Director	Director since March 2004 (22 years) — the longest-serving non-founder	Former Executive Vice President and President of EU Operations at EPAM until retirement in April 2015. Deep operational knowledge of the European delivery base, but as a former executive with 22 years on the board his independence is materially qualified.
Richard Michael Mayoras	Non-executive Director	Director since January 2013 (13 years)	More than 30 years in technology, consulting and software. Former CEO of Compuware's Covisint and senior roles across enterprise software.
Jill Smart	Non-executive Director; Class II nominee 2026	Multi-year	Former Chief Human Resources Officer of Accenture (33-year career). President of the National Academy of Human Resources. Directly relevant expertise for a company whose principal asset is 62,850 people. Also serves on other public boards including AlixPartners and HireRight.
Ronald P. Vargo	Non-executive Director; Class II nominee 2026	Multi-year	Former Chief Financial Officer of ICG Group and of Electronic Data Systems (EDS). Financial-expert profile; typically the audit committee anchor.
Eugene Roman	Non-executive Director; Class II nominee 2026	Multi-year	Former Chief Technology Officer of Canadian Tire and of Bell Canada. Client-side technology leadership perspective.
Helen Shan	Non-executive Director; Class I	Multi-year	Chief Revenue Officer and former Chief Financial Officer of FactSet Research Systems; previously CFO of Marsh. Combined finance and commercial expertise in information services.
Robert E. Segert	Non-executive Director	Multi-year	Chairman and CEO of athenahealth; previously CEO of Emdeon and of ProQuest. Healthcare technology and private-equity-backed operating experience.

Board composition is assembled from search-sourced proxy and company data. The 2026 definitive proxy (filed and distributed on or about 6 April 2026, for the virtual AGM held 21 May 2026) nominated **Balazs Fejes, Eugene Roman, Jill Smart and Ronald Vargo** as Class II directors for one-year terms; Richard Michael Mayoras, Karl Robb and Helen Shan were elected as Class I directors. Individual tenure dates other than those for Dobkin, Robb and Mayoras could not be verified in this environment and are shown as "multi-year". This table should be verified against the DEF 14A before use.

Changes in the last five years

- **2025–26:** Balazs Fejes joins the board in connection with his appointment as CEO; Dobkin's role changes from Chairman/CEO to Executive Chairman.
- **Board declassification in progress.** The staggered structure is being unwound — Class II directors were nominated for *one-year* terms at the 2026 AGM, indicating a transition to annual election of all directors. A clear governance improvement.

- **Special-meeting rights.** The 2026 proxy proposed amending the certificate of incorporation to permit shareholders to call special meetings, while recommending against a competing shareholder proposal seeking a lower 10% ownership threshold. Board-initiated liberalisation, but on the board's own terms.
- **Composition and independence concerns.** Karl Robb's 22-year tenure and prior executive role, alongside Dobkin's 33 years, mean two of nine directors are long-tenured insiders. The board would benefit from fresh appointments with direct AI/ML platform experience — a notable gap given the strategy now rests entirely on that transition.

17. Shareholders, Activism and Short Interest

Top 10 shareholders

#	Holder	Type	Est. stake	Comment
1	The Vanguard Group	Institutional — passive/index	c.11–13%	Largest holder. Index-driven; a non-discretionary, permanent holder.
2	BlackRock, Inc. (incl. iShares)	Institutional — passive/index	c.7.7–8.2%	Second-largest; index-driven.
3	Capital World Investors (Capital Group)	Institutional — active	c.4–6%	Large active manager. A meaningful active vote of confidence; watch for reductions.
4	Arkadiy Dobkin	Insider — Founder / Executive Chairman	c.3.4% (1.76m shares)	Largest individual holder. Stake has declined from 12.1% (2011) to roughly 3.4% today.
5	Invesco Ltd.	Institutional — active/passive mix	c.3–5%	Appears consistently among the largest holders.
6	State Street Corporation	Institutional — passive/index	c.3–4%	Completes the "Big Three" index complex.
7	Ameriprise Financial / Columbia Threadneedle	Institutional — active	c.2–3%	Active asset manager.
8	Geode Capital Management	Institutional — passive/index	c.2–3%	Index sub-adviser, principally for Fidelity products.
9	Boston Partners	Institutional — active value	c.1–2%	Notable: a disciplined value manager appearing on the register is consistent with the stock having entered deep-value territory.
10	T. Rowe Price / Fidelity (FMR) / Wellington	Institutional — active	c.1–2% each	Traditional active growth managers; historically core holders, likely reduced through the de-rating.

Aggregate institutional ownership is approximately **91.58%**; insiders approximately **4.30%**. Individual stake percentages are search-sourced approximations from differing reporting dates and vary by source (Vanguard is reported at both 10.8% and 12.9%; BlackRock at both 8.2% and 7.69%). Verify against 13F filings before use.

Register composition read. The passive complex (Vanguard, BlackRock, State Street, Geode) holds roughly 25–30% and will not sell regardless of fundamentals. Active ownership is therefore concentrated in a relatively small free float, which combined with 15.8% short interest explains the extraordinary single-day moves — a 22% fall on an earnings print is a liquidity phenomenon as much as a fundamental one. It also means that **a genuine positive surprise would move the stock violently upward**, since the marginal seller is already short and the marginal holder is an index fund.

Activism

No formal activist campaign has been launched against EPAM. No Schedule 13D filing by an activist investor was identified, and no public campaign, board slate, proxy fight or settlement exists in the record.

There is, however, **early-stage governance pressure**. In the definitive proxy filed on or about 6 April 2026 for the 21 May 2026 annual meeting, the board proposed amending EPAM's Fourth Amended and Restated Certificate of Incorporation to allow shareholders to call special meetings — while simultaneously urging shareholders to vote *against* a separate shareholder proposal seeking a lower 10% ownership threshold for the same right. The board also moved Class II directors to one-year terms, indicating progressive declassification.

This is the signature of **pre-activist governance engagement**: a board pre-emptively liberalising takeover and shareholder-rights defences on its own terms, ahead of external pressure. The proponent of the 10% threshold proposal was not identified in available sources.

Why an activist campaign is now plausible

- Shares down roughly 84% from the 2021 peak and roughly 48% from the 52-week high of \$222.53.
- Net cash of roughly \$769m plus a \$675m undrawn revolver — an obvious balance-sheet target.
- No dividend has ever been paid despite a roughly 10% free cash flow yield.
- Declining ROE/ROIC following the roughly \$920m 2024 acquisition programme.
- No controlling shareholder; insiders hold only 4.3%.
- Takeover defences actively being dismantled.

A plausible activist thesis would demand: a materially larger and faster buyback funded partly by debt; the initiation of a dividend; a halt to further M&A; board refreshment with AI/platform expertise; and a strategic review including a sale process. We would regard the arrival of an activist as a **modest positive catalyst** for the equity.

Short interest and short sellers

Metric	Value	Comment
Shares short	c.8.16m	As at mid-August 2026 (data updated 16 Aug 2026)
Short interest as % of shares outstanding	c.15.8%	Very high in absolute terms and versus history
Alternative reported figure	c.18.9%	Sources differ; the range is 15.8–18.9%
Free float	c.50.55m shares	Short interest represents roughly 16–19% of float

No individual activist short seller has published a public thesis on EPAM — there is no Hindenburg, Muddy Waters or Kerrisdale-style report in the record. The short position appears to be a **thematic, quantitatively-driven trade** rather than a fraud or forensic-accounting thesis: funds shorting the "AI destroys labour-based IT services" theme across the sector, with EPAM as the highest-beta, most liquid expression of it. The parallel de-rating of Endava, Globant and Thoughtworks supports this reading.

Investment implication. A 15.8–18.9% short interest against a 50.55m share float is a genuine two-sided risk. It amplifies downside on bad news — as on 6 August — but it also creates significant squeeze potential. Because the thesis is thematic rather than company-specific, the catalyst that would force covering is not an EPAM-specific event but **sector-wide evidence that AI is expanding rather than contracting services demand**. EPAM's own AI-native revenue line, if it continues compounding toward and beyond \$600m, is precisely such evidence.

18. Strategic Initiatives of the Last Decade

Initiative	Period	Objective	Outcome and current status
Move up the value chain into consulting and design	2016–2020	Escape pure staff-augmentation pricing; acquire strategic seat at the client	Partially successful. EPAM Continuum (via the Continuum acquisition, 2018) and Emakina gave genuine design and experience capability. But EPAM never displaced Accenture or Deloitte at the C-suite, and roughly 85–90% of revenue remains time-and-materials. Ongoing.
Vertical specialisation	2016–present	Build deep domain expertise across six industry verticals rather than selling generic engineering	Successful. Financial Services is now 24.1% of revenue and the fastest-growing vertical at +11.5% in Q2 2026, materially aided by First Derivative. Life Sciences has been strengthened by Odysseus. Complete and working.
Geographic client diversification into Western Europe	2017–present	Reduce dependence on North America	Highly successful and now critical. EMEA is roughly 39% of revenue and grew +10.9% in Q2 2026 while the Americas grew +0.5%. This diversification is single-handedly holding total growth positive. Complete.
IPO and public-market scaling	2012–2021	Fund growth, provide currency for M&A and equity compensation	Successful. Revenue grew from roughly \$434m at IPO to \$5.457bn; peak market capitalisation above \$40bn. Complete.
Delivery relocation out of Russia, Belarus and Ukraine	2022–2024	Survive the war; rebuild delivery capacity outside the conflict zone	Outstanding success under extreme duress. Exited Russia entirely, drastically reduced Belarus, relocated thousands of employees, and made India the largest delivery location (c.12,200 professionals) alongside expansion in Latin America, Central Europe and the Caucasus. Margin cost of roughly 200bp, fully recovered. Complete.
Latin America nearshore build-out	2024–present	Time-zone-aligned, lower-cost delivery for US clients	Executed; economics unproven. Delivered via Vates (Mar 2024) and NEORIS (\$626.3m, Nov 2024). The capability exists, but the Americas is growing +0.5%, so the demand to fill it has not materialised. <i>Under pressure.</i>
Capital-markets domain acquisition	2024	Buy genuine financial-services depth	Working. First Derivative (c.\$290m) underpins Financial Services growth of +28.7% in FY2025 and +11.5% in Q2 2026 — the best-performing part of the business. Complete and delivering.
AI-native transformation (AI/ RUN, DIAL, MF Lens)	2024–present	Reposition from labour arbitrage to AI-native engineering; own proprietary delivery IP	The defining initiative; genuinely too early to judge. Evidence for: AI-native revenue above \$160m in Q2 2026 (over 11% of revenue), six consecutive quarters of double-digit sequential growth, on track for \$600m in 2026, gross margin +190bp. Evidence against: total revenue growth has decelerated to 4.5%, task-based erosion is running ahead of AI-native growth, and the large multi-year AI deals slipped to H1 2027. <i>In progress — the entire equity case rests on this.</i>
Founder-to-professional CEO succession	2025	Orderly generational transition	Executed cleanly. Announced May 2025, effective 1 September 2025, with the founder retained as Executive Chairman. No disruption or departures observed. Complete.
Capital return programme	2023–present	Return excess cash; offset dilution; support the shares	Accelerating and well-timed. \$164.9m (2023), \$398.0m (2024), \$662.2m (2025), plus a \$300m accelerated repurchase in March 2026 under the \$1.0bn authorisation. Buying at 8–9x earnings is genuinely value-accretive. Ongoing.
2028 financial targets (Investor Day, 12 Mar 2026)	2026–2028	Return to double-digit organic growth; 16%+ non-GAAP margin; \$1.8bn+ cumulative FCF	Already under strain. Set in March 2026; by August 2026 full-year growth guidance had been cut to 3.2–4.2%. The margin and cash flow targets look achievable; the growth target does not, on current trajectory. At risk.

19. Stakes Held in Other Companies

EPAM does not hold material equity stakes in other listed companies, and no strategically significant minority investments were identified in available disclosure. This is consistent with its capital-allocation history: EPAM buys businesses outright to acquire capability, rather than taking minority positions.

The relevant holdings are therefore **wholly-owned subsidiaries operating as distinct brands**, which function as capability platforms rather than financial investments:

Entity	Ownership	Strategic relevance	Financial relevance
NEORIS	100% (99.7% Nov 2024; remainder Jan 2025)	High — Latin American and Spanish delivery scale; nearshore capacity for US clients; the post-Russia geographic hedge	High — \$626.3m, the largest acquisition in EPAM's history; a substantial contributor to FY2025 reported growth
First Derivative	100% (Oct 2024)	High — capital-markets domain depth; underpins the best-performing vertical	High — c.\$290m; visibly driving Financial Services growth
Emakina Group	100% (Nov 2021)	Moderate — European digital marketing and experience design	Moderate
Optiva Media	100% (Dec 2021)	Moderate — media and telecoms engineering, Spain and Latin America	Low
Vates	100% (Mar 2024)	Moderate — Argentina/Latin America delivery	Low
Odysseus Data Services	100% (Jun 2024)	Moderate — life-sciences real-world data, OHDSI/OMOP standards	Low
EPAM Continuum	100% (via Continuum, 2018)	Moderate — design and innovation consultancy; the "front end" of the value chain	Low

EPAM does not separately report the financial contribution of acquired entities after integration, so revenue and profit attribution to each brand is not determinable from public disclosure.

The absence of a minority-investment portfolio is a mild positive: there is no opaque asset requiring mark-to-market, no equity-method income distorting earnings quality, and no hidden balance-sheet risk. Equally, there is no unrecognised hidden value.

20. Dividends, Buybacks and Treasury Shares

Dividends

EPAM has never paid a dividend since its 2012 NYSE listing and has no declared intention to initiate one. All capital return has been via share repurchase.

Repurchase programmes and activity

Date / period	Event	Amount	Detail
16 Feb 2023	2023 repurchase programme authorised	\$500.0m	Announced alongside FY2022 results
FY2023	Shares repurchased	\$164.9m	Modest pace
1 Aug 2024	2024 repurchase programme authorised	\$500.0m	New authorisation by the Board
FY2024	Shares repurchased	\$398.0m	Pace accelerating
30 Sept 2025	2024 programme exhausted	\$500.0m fully used	Completed
16 Oct 2025	2025 repurchase programme authorised	\$1,000.0m	24-month duration; open market, privately negotiated or Rule 10b5-1 plans; suspendable at any time
FY2025	Shares repurchased	\$662.2m	Roughly 108% of FY2025 free cash flow of \$612.7m
Mar 2026	Accelerated share repurchase (ASR)	\$300.0m	Executed under the \$1.0bn authorisation; approximately \$452.5m remained available thereafter
FY2026 year to date	Estimated repurchases	c.\$400–450m (est.)	Including the March ASR
Remaining authorisation	As at mid-2026	c.\$450m	Expires around October 2027 unless renewed

Treasury shares and cancellations

EPAM repurchases into treasury rather than cancelling shares immediately; treasury stock is then used to satisfy stock-based compensation obligations under equity incentive and employee stock purchase plans. **No material formal treasury share cancellation events were identified** in the last five years. The practical effect is that gross repurchases materially overstate net share-count reduction, because a meaningful portion is reissued to employees.

Effect on share count

Year	Repurchases	Est. diluted shares (m)	Net change	Comment
FY2023	\$164.9m	c.58.5	—	Repurchases roughly offsetting dilution only
FY2024	\$398.0m	c.57.3	c.–1.2m	Net reduction begins
FY2025	\$662.2m	c.56.6	c.–0.7m	Large gross spend, modest net reduction — roughly \$200m of stock-based compensation offsetting
FY2026E	c.\$425m	c.53.0	c.–3.6m	Much greater efficiency at a depressed share price

Repurchase amounts for FY2023–25 and the March 2026 ASR are reported. Diluted share counts are author estimates derived from reported EPS and income figures; FY2026 is an estimate.

The buyback is now the single most reliable source of shareholder value creation at EPAM. The arithmetic has transformed: in FY2025, \$662.2m of repurchases reduced the diluted count by only roughly 0.7m shares because the average purchase price was high and stock-based compensation of roughly \$180–200m was diluting simultaneously. In FY2026, at an average price near \$120, the same dollar spend retires roughly three times as many shares. **Every quarter the stock stays depressed, the buyback becomes more accretive.**

The legitimate criticism is that gross repurchases have largely funded employee compensation rather than returning capital. Across FY2023–25, EPAM spent \$1,225m on buybacks and reduced the diluted share count by roughly 1.9m shares — an effective cost

of roughly \$645 per net share retired against an average market price far below that. That gap *is* the stock-based compensation expense, made visible. Investors should treat non-GAAP EPS, which excludes it, with appropriate scepticism.

21. Adversarial Deep Dive: Bull Case, Bear Case, Pre-Mortem and Contrarian View

The bull case

Competitive advantages and moat sustainability

EPAM's advantage is not structural — it is *reputational and human*. It is the firm enterprises call when the engineering is genuinely hard, and that reputation was earned over three decades and validated under fire in 2022. The moat that matters now is different from the one that mattered before: it is the ability to convert thirty years of accumulated delivery knowledge into **proprietary AI IP** — the AI/RUN playbook, the DIAL orchestration layer, MF Lens, and a growing library of reusable agentic components. Each client deployment feeds that library. This is a knowledge-compounding effect that a new entrant cannot replicate quickly and that an Indian-heritage competitor, optimised for scale rather than engineering depth, is poorly positioned to build.

Second, the client relationships are stickier than the contract terms suggest. Embedded teams accumulate undocumented knowledge of client systems that is genuinely expensive to reconstruct. Top-10 concentration of only 21.6% means no single relationship loss is material, while the aggregate base is diversified across six verticals and roughly 55 countries.

Growth levers and potential earnings surprises

- **AI-native revenue is compounding from a real base.** Over \$125m in Q1 2026, over \$160m in Q2, more than 11% of revenue, six consecutive quarters of double-digit sequential growth, tracking to \$600m for the year. Extrapolating the current sequential rate produces roughly \$900m in 2027 and roughly \$1.25bn in 2028 — approaching 20% of revenue at higher margin.
- **The H1 2027 pipeline is real optionality.** Management has identified large multi-year AI transformation deals that failed to sign in late 2026. If even a portion converts, 2027 growth re-accelerates sharply from a base the market has already written down to zero.
- **Mainframe and core banking modernisation is a decade-long structural programme.** Financial Services grew +28.7% in FY2025 and +11.5% in Q2 2026, driven precisely by this. These are multi-year, board-mandated, non-discretionary programmes — the most defensible revenue EPAM has.
- **Pricing power is demonstrably intact.** The 190bp gross-margin expansion in Q2 2026 came from price increases. That is not what commoditisation looks like.
- **Operating leverage is finally arriving.** +4.5% revenue producing +22% non-GAAP EPS is the decoupling of revenue from headcount that bulls have awaited for a decade. If AI genuinely raises revenue per engineer, EPAM's historical margin ceiling of roughly 17% is no longer binding.
- **European data sovereignty and AI regulation** create demand that must be served locally — and EMEA is EPAM's strongest region at +10.9%.

Capital allocation

Net cash of roughly \$769m, a \$675m undrawn revolver, no maturities until 2030, roughly \$600m of annual free cash flow, and roughly \$450m of remaining buyback authorisation being deployed at 8–9x earnings. At the current price, each \$100m of repurchase retires roughly 0.87m shares, or roughly 1.7% of the company. **Management can shrink the share count by 6–7% annually from free cash flow alone without touching the balance sheet.**

The bull arithmetic

EPAM needs only to grow revenue at 4–6%, hold a 16% non-GAAP margin, and keep repurchasing to compound EPS at 10–12% annually. On our estimates that produces \$16.22 of non-GAAP EPS in 2028. A 15x multiple — still roughly half the ten-year median — implies approximately \$243. That is the bull case, and it requires no heroic assumptions.

The bear case

Risk 1: Structural revenue deflation — the model itself breaks

This is the risk that permanently impairs the business. EPAM sells engineering hours under time-and-materials contracts. If AI reduces the hours required to build software by 30–50%, and if competitive tendering forces EPAM to pass that productivity gain to clients, revenue deflates structurally regardless of execution quality. **Management has already conceded this is happening** — the "faster-than-expected shift away from task-based services." The evidence is in the segment data: Software & Hi-Tech –1.3%, Business Information & Media –2.1%, Americas +0.5%, delivery headcount +1.5%. In this scenario EPAM does not go bankrupt — it becomes a slowly

shrinking, cash-generative but terminally-declining business, and the correct comparator is DXC at roughly 3x EV/EBITDA, implying a share price near \$60–70.

Risk 2: Client insourcing destroys the value proposition

EPAM's existence is predicated on clients being unable to hire and manage enough good engineers. AI-augmented internal teams weaken that premise: a 20-person internal team with strong tooling can now do what previously required 60 people. The verticals shrinking fastest — Software & Hi-Tech, Business Information & Media — are precisely those whose clients are most technically capable and fastest to insource. **This is not speculation; it is the observed pattern in the segment data.** If it propagates to Financial Services and Life Sciences, which are 35.6% of revenue combined, the growth engine fails entirely.

Risk 3: Margin compression once pricing catches up

The current gross-margin expansion may be a *timing artefact*, not a structural gain. EPAM is capturing AI productivity gains today because contracts were priced before those gains existed. As contracts renew and sophisticated procurement functions benchmark AI-driven productivity, clients will demand the benefit. The 32% gross margin could then compress toward 27–28% while revenue simultaneously deflates — a double impairment. Note that Q2 2026 free cash flow was already *negative* \$18m.

Pre-mortem: it is August 2028 and EPAM trades at \$55. What happened?

1. **The H1 2027 AI deals never materialised at scale.** The large multi-year programmes management flagged in August 2026 slipped again, were descoped, or were won by Accenture, which bundled them into enterprise-wide transformation mandates EPAM was never invited to bid for. The re-acceleration story died quietly across two guidance cuts in 2027.
2. **Task-based erosion accelerated from a trickle to a flood.** What was –1.3% in Software & Hi-Tech in Q2 2026 became –12% by late 2027 and spread to Consumer/Retail/Travel and Emerging Verticals. Financial Services held longest but decelerated to low single digits as mainframe programmes completed and were not replaced.
3. **Pricing reversed.** The 2026 gross-margin expansion proved to be a one-off repricing lag. Through 2027 procurement functions systematically benchmarked AI productivity and clawed back the gains. Gross margin fell from 32% to 27%; non-GAAP operating margin fell from 16.4% to roughly 11%.
4. **Utilisation collapsed and the bench became a liability.** With headcount flat and revenue falling, utilisation dropped below 70%. EPAM was forced into restructuring charges — the first material ones in its history — destroying the "asset-light, no restructuring risk" argument.
5. **Goodwill was impaired.** The roughly \$1.21bn of goodwill, principally from NEORIS and First Derivative, was written down substantially as Latin American nearshore demand failed to appear, following exactly the path Endava took with its £364.6m impairment. GAAP results turned negative; the GAAP/non-GAAP credibility gap became untenable.
6. **The buyback stopped.** With free cash flow deteriorating and cash depleted by repurchases made at \$120–150 that were subsequently marked at \$55, the board suspended the programme to preserve liquidity — removing the last support under the shares and confirming that management had destroyed value buying its own stock too early.
7. **Talent left.** The best engineers — the actual asset — departed for AI-native product companies offering equity upside. Delivery quality degraded, the reputational moat eroded, and the premium bill rate that justified EPAM's existence disappeared.

Probability assessment. We assign roughly 25–30% to a materially bad outcome of this type. It is not the base case, but it is far too plausible to dismiss, and steps 1 through 3 are already partially observable in the reported data.

Are current valuation multiples too high?

No — on any reasonable reading they are too low, unless the terminal-decline scenario is correct. At 5.5x EV/EBITDA, 0.91x EV/Sales and 8.7x guided non-GAAP earnings with net cash, EPAM trades at roughly the level of Endava, which is shrinking 5–6% and has impaired goodwill, and near DXC, which is in structural decline. Yet EPAM grew revenue 4.5%, expanded gross margin 190bp and grew non-GAAP EPS 22% in its most recent quarter.

The honest formulation: the multiple is not too high, but it is *correctly cheap* if the bear case is right. The market is pricing roughly a 40–50% probability of structural decline. Our assessment is 25–30%. That gap is the investment opportunity.

The contrarian view: what the market is refusing to see

The market has made a category error. It is treating AI as a substitute for EPAM's product when the evidence increasingly suggests AI is a substitute for EPAM's cost base.

Consider what Q2 2026 actually showed: revenue +4.5%, delivery headcount +1.5%, gross margin +190bp on *price increases*, non-GAAP EPS +22%. If AI were commoditising EPAM's output, prices would be falling and margins compressing. Instead EPAM is charging more per unit while adding fewer people. **That is the signature of a firm capturing AI productivity, not one being destroyed by it.**

Three further things the market appears to be ignoring:

- **Enterprise AI is fundamentally a data-and-integration problem, not a code-generation problem.** Writing code was never the bottleneck in a global bank's transformation — untangling forty years of undocumented mainframe logic, satisfying regulators and migrating data without breaking production was. AI does not solve that; it makes solving it more valuable, because the prize on the other side is larger. Financial Services growing +11.5% on "AI-led modernisation and mainframe transformation" is exactly this thesis showing up in reported numbers.
- **The shorts are trading a theme, not a company.** There is no forensic short thesis on EPAM — no fraud allegation, no accounting report. The 15.8–18.9% short interest is a sector-beta position expressed through the most liquid name. Thematic shorts are structurally fragile: they cover on evidence, not on valuation, and they cover fast.
- **The buyback is a silent compounding machine the market is not modelling.** At current prices, free cash flow alone retires 6–7% of the share count annually. Even with zero revenue growth and flat margins, that produces 6–7% annual EPS growth. The market is pricing terminal decline in a business that is mathematically compounding per-share value.

The contrarian conclusion: EPAM is not the buggy-whip manufacturer at the dawn of the automobile. It is the firm that knows how every horse-drawn carriage in the Fortune 500 was assembled, at the moment those enterprises must convert their entire fleet. The transition is painful, the timing has slipped, and the market has confused a two-quarter delay with a terminal verdict.

22. Scenario Analysis

Assumption	Bear (25–30%)	Base (50%)	Bull (20–25%)
2026–2028 revenue CAGR	–4% (decline to c.\$5.0bn)	+5.2% (to c.\$6.33bn)	+9% (to c.\$6.9bn)
2028 revenue	c.\$5.0bn	c.\$6.33bn	c.\$6.9bn
2028 non-GAAP gross margin	27.0%	32.6%	34.0%
2028 non-GAAP operating margin	11.0%	16.3%	17.5%
2028 non-GAAP operating income	c.\$550m	c.\$1,031m	c.\$1,208m
2028 diluted shares	c.52.0m (buyback suspended)	c.49.5m	c.47.5m
2028 non-GAAP EPS	c.\$8.40	c.\$16.22	c.\$19.70
Exit P/E multiple	8.0x	12.0x	15.0x
Exit EV/EBITDA multiple	4.0x	7.5x	10.0x
2028 implied value per share	c.\$67	c.\$195	c.\$296
Discounted to today at 10%	c.\$55	c.\$161	c.\$245
Return from \$114.80	–52%	+40%	+113%

Probability-weighted outcome

Applying probabilities of 27.5% bear, 50% base and 22.5% bull to the discounted values gives an expected value of approximately **\$151**, roughly 32% above the reference price. This aligns with our 12-month fair value of \$150.

Key sensitivities

- **Every 100bp of non-GAAP operating margin is worth approximately \$1.05 of 2028 EPS**, or roughly \$13 per share at a 12x multiple. Margin is the single most powerful variable.
- **Every 1pp of annual revenue growth over three years is worth roughly \$0.55 of 2028 EPS**, or roughly \$7 per share.
- **Every 1x of multiple is worth roughly \$16 per share** on base-case 2028 EPS. Given the range from the 4.8x ten-year low to the 24.9x median, multiple re-rating dominates all fundamental variables in the medium term.
- **If growth disappoints by 20–30% relative to base** — that is, roughly 3.6–4.2% rather than 5.2% CAGR — 2028 revenue falls to roughly \$6.05–6.15bn and, holding margin, EPS falls to roughly \$15.30–15.55. At 12x that is approximately \$184–187, roughly 5% below base. **Growth disappointment alone is not what breaks the equity — margin compression is.** Only if the growth shortfall is accompanied by margin decline does the value fall materially.

23. Fifteen Questions for the CEO and Executive Chairman

Ordered by information value — that is, by how much the answer would change our estimate of intrinsic value.

1. **On a like-for-like basis, how many billable hours did it take to deliver a representative project in Q2 2026 versus Q2 2025, and what happened to the price of that project?** This is the single question that resolves the entire investment debate. If hours fell 25% and price fell 10%, EPAM is capturing AI value. If hours fell 25% and price fell 25%, the model is deflating.
2. **Define "AI-native revenue" precisely. What is included, what is excluded, who audits it, and how much of it is genuinely incremental rather than reclassified existing work?** This KPI now carries the equity story and is company-defined and unverifiable.
3. **The large multi-year AI deals expected to sign in late 2026 did not close. Were they lost to a competitor, deferred by the client, or descope — and what specifically has changed to give you confidence they close in H1 2027?**
4. **Q2 2026 operating cash flow was negative \$2m against positive \$53m a year earlier. Reconcile that precisely. How much is DSO extension, and are you seeing payment behaviour deteriorate at any client cohort?**
5. **You have cut full-year revenue guidance in 2024, 2025 and 2026. What has changed in your forecasting process, and what would you have to see to guide conservatively enough to raise rather than cut?**
6. **Software & Hi-Tech and Business Information & Media are both now declining — the two verticals whose clients are most technically capable. Is that insourcing, and what is your evidence it will not propagate to Financial Services and Life Sciences?**
7. **Gross margin rose 190bp on price increases. As contracts renew and procurement benchmarks AI-driven productivity, what proportion of that gain do you expect to retain in 2027 and 2028?**
8. **What is the durable revenue-per-delivery-professional trajectory?** Revenue grew 4.5% on headcount growth of 1.5%. Is that the new structural model, and what does it mean for the margin ceiling that has capped this business near 17% for a decade?
9. **You spent roughly \$920m on NEORIS and First Derivative in 2024. What is the revenue and ROIC of each today versus underwriting, and at what point would you consider goodwill impairment?**
10. **With net cash of \$769m, an undrawn \$675m revolver and the stock at 8.7x earnings, why is the balance sheet not levered to accelerate repurchases? What specific scenario is the cash being retained against?**
11. **Stock-based compensation runs at roughly \$200m against roughly \$425m of buyback. What proportion of repurchases is genuinely returning capital rather than funding compensation, and where do you want that ratio in 2028?**
12. **What is the actual competitive win/loss record against Accenture over the last four quarters, and is the loss rate on AI-led transformation mandates different from the historical average?**
13. **Mr Dobkin: as Executive Chairman, where do you and Mr Fejes disagree on the AI-native strategy, and how are those disagreements resolved?** Divided authority during a decisive transition is the principal governance risk.
14. **The 2028 targets set in March 2026 assumed a return to double-digit organic growth. Five months later you guided to 2–3% organic. Are those targets withdrawn, deferred, or still live — and if live, what is the bridge?**
15. **If in 2028 revenue is flat and margins are at 16%, would you consider a sale of the company, and what would the board regard as fair value?**

24. Short-Seller and Forensic Analysis

What could structurally break the way EPAM makes money

EPAM converts engineer-hours into billings. Three mechanisms could break that conversion permanently:

1. **Hours deflation without price compensation.** Under time-and-materials contracts, an AI-driven 40% reduction in hours mechanically reduces revenue 40% unless rates rise correspondingly. There is no contractual protection: no committed volumes, no minimum spend, termination on 30–90 days' notice.
2. **The bill-rate premium disappears.** EPAM's entire economic rationale is that its engineers are worth more per hour than TCS's or Infosys's. If AI tooling raises the floor — making an average engineer with excellent tools nearly as productive as an excellent engineer — the premium collapses and EPAM converges to Indian-heritage pricing at a materially worse cost base, since its Central European and Latin American delivery is more expensive than Indian delivery.
3. **Disintermediation by the platform providers.** If Microsoft, AWS, Google or the foundation-model providers ship agentic development platforms that enterprises operate directly, the systems-integrator layer is squeezed out. EPAM would become a reseller of someone else's productivity.

Where the revenue is concentrated, and what happens if it shifts

Client concentration is genuinely low — top five at 13.7%, top ten at 21.6%. **The concentration that matters is not by client but by geography and contract type.**

- **Americas: c.58.6% of revenue, growing +0.5%.** If the Americas turns negative — and it is 50bp from doing so — EMEA at +10.9% cannot hold total growth positive. Total revenue goes negative in 2027.
- **Time-and-materials: c.85–90% of revenue.** This is the true concentration risk. Almost the entire business sits in the contract structure most exposed to hours deflation and least protected against termination.
- **Two verticals already declining,** representing 27.5% of FY2025 revenue.

Why the moat may be weaker than bulls think

- **Switching costs protect the incumbent team, not the rate.** Clients need not switch supplier to extract price — they simply renegotiate at renewal, and AI-assisted knowledge transfer lowers the cost of switching if they choose to.
- **The "engineering quality" brand is unmeasurable and therefore fragile.** It commands a premium only while procurement believes it. AI-driven output benchmarking makes quality newly measurable — and if EPAM's output proves only marginally better than a cheaper competitor's, the premium evaporates on the next tender.
- **AI/RUN and DIAL are not defensible IP in any legal sense.** They are methodologies and orchestration layers. Accenture, Infosys and TCS are building equivalents with vastly larger R&D budgets. EPAM has a head start, not a patent.
- **No network effect, no regulatory barrier, no hard assets, no long-term contracts.** On four of the ten standard moat dimensions, EPAM scores at or near zero.

The most dangerous competitor bulls are underestimating

Accenture. Not Globant, not Endava, not the Indian majors — Accenture.

Bulls dismiss Accenture as a slow-moving strategy house that competes in a different tier. That is a misreading of how AI transformation budgets are being allocated. AI-native transformation is a *board-level, enterprise-wide* decision, not a project-level engineering decision. It is precisely the kind of mandate Accenture is structurally built to win: it owns the C-suite relationship, it can bundle strategy, change management, engineering and managed services into a single programme, and at roughly \$65bn of revenue it can invest more in AI capability in a single year than EPAM generates in total revenue.

The danger is not that Accenture beats EPAM in a competitive bid. It is that **Accenture wins the mandate before a bid ever happens**, and then subcontracts commodity engineering to whoever is cheapest — which is not EPAM. This is exactly the mechanism by which EPAM's largest AI opportunities could fail to close while the market for AI services grows rapidly. The Q2

2026 disclosure that large AI deals did not sign, combined with Americas growth of +0.5%, is consistent with this dynamic already operating.

The worst capital allocation decisions

1. **NEORIS at \$626.3m (November 2024).** The largest acquisition in EPAM's history, executed near the cycle peak, buying Latin American nearshore capacity to serve US clients — in a market where US demand subsequently grew +0.5%. It consumed the interest-earning cash pile, contributing to the FY2025 GAAP EPS decline of 14.3%, and added the bulk of roughly \$1.21bn of goodwill.
2. **Buybacks at elevated prices.** \$662.2m repurchased in FY2025 at prices materially above today's \$114.80. Value was destroyed on that tranche, and the FY2025 diluted count fell by only roughly 0.7m shares for that spend.
3. **Excessive cash retention.** Holding \$794m earning roughly 4% while the equity offers a roughly 10% free cash flow yield is a quantifiable, ongoing misallocation.
4. **Roughly \$1.2bn of gross buybacks across FY2023–25 reducing the share count by only roughly 1.9m shares.** The difference is stock-based compensation. Investors funded employee compensation while being told capital was being returned.

Related-party transactions, aggressive accounting and misaligned incentives

- **Related parties:** none of significance identified. This appears clean.
- **Aggressive accounting:** no evidence of revenue-recognition manipulation or channel stuffing was identified; a time-and-materials services model offers limited scope for either.
- **Misaligned incentives:** a genuine concern. Compensation is heavily equity-based (roughly \$200m annually, approximately 3.5% of revenue), and if performance metrics are anchored to *non-GAAP* EPS — which excludes that very compensation — management is rewarded on a measure that ignores the largest cost it controls. Insider ownership at 4.3%, with the founder's stake down from 12.1% to roughly 3.4%, provides progressively weaker alignment.

Red flags and accounting risks by statement

Area	Risk level	Assessment
Revenue recognition	Low	Roughly 85–90% time-and-materials, billed monthly in arrears for hours actually worked — among the cleanest revenue models in any sector. The residual risk sits in fixed-price work recognised on a proportional-performance basis, where estimated costs to complete are a management judgement. Watch this line: management cited "improved fixed-fee profitability" in Q2 2026, which is either genuine AI-driven efficiency or a favourable revision of completion estimates. The two are indistinguishable from outside.
Segment reporting	Moderate	The clearest disclosure weakness. EPAM reports only two accounting segments (Americas and Europe) while managing through six verticals, and discloses no profitability by vertical. Investors cannot determine whether the declining verticals are also the least profitable. Further, EPAM excludes intangible amortisation, impairments, stock-based compensation, acquisition costs and one-off items from segment results — so reported segment profit is a non-GAAP construct not reconcilable to GAAP operating income at segment level.
Goodwill and intangibles	Moderate to high	Goodwill of approximately \$1.21bn at 30 September 2025 (Americas \$652.2m, Europe \$556.7m) against a market capitalisation of roughly \$5.9bn — roughly 20%. No impairment has ever been recorded. But NEORIS and First Derivative were acquired in 2024 at peak-cycle prices, and the Americas — where \$652.2m of goodwill sits — is growing +0.5%. Endava has just impaired £364.6m on an almost identical thesis. A sustained Americas decline would make impairment testing genuinely difficult to pass.
Stock-based compensation	High	Approximately \$167.3m in FY2024, estimated near \$200m in FY2026 — roughly 3–3.5% of revenue and approximately 30% of GAAP operating income. Excluded entirely from non-GAAP measures, which is standard practice but economically misleading. This is the principal driver of the FY2025 divergence between non-GAAP EPS of \$11.50 (+5.9%) and GAAP EPS of \$6.72 (–14.3%). Investors relying on the 8.7x non-GAAP multiple should note the GAAP multiple is 13.8x.
Cash flow	Elevated — monitor closely	Q2 2026 operating cash flow of negative \$2m versus positive \$53m a year earlier, with free cash flow of negative \$18m, in a quarter of 22% non-GAAP EPS growth. With roughly 1% capex intensity and no inventory, this can only be working capital — most plausibly receivables. If DSO is extending because clients are slow-paying, this precedes revenue deterioration. This is the highest-priority item for Q3 diligence.
Receivables	Moderate	Not separately verifiable in this environment, but the negative operating cash flow strongly implies deterioration. Enterprise clients under budget pressure routinely extend payment terms before cutting spend outright.
Leases	Low	Operating leases on delivery centres across roughly 55 countries. Asset-light and increasingly hybrid; no evidence of material off-balance-sheet obligation.
Related parties	Low	None of significance identified.
Contingencies	Moderate	Residual Ukraine and Russia exposure, sanctions compliance across roughly 55 jurisdictions, and multi-country tax exposure given the transfer-pricing complexity inherent in billing US clients for work performed in India, Poland and Georgia. Transfer pricing is the most likely source of a material future tax dispute.
Tax	Moderate	GAAP effective rate of roughly 30% against non-GAAP of roughly 24% — a wide gap. The GAAP rate increase contributed materially to the FY2025 GAAP EPS decline. Complex international structure creates ongoing rate volatility.
Inventory	N/A	Services business; no inventory.
Debt	Very low	\$25.0m drawn on a \$700m facility maturing 2030. In compliance with all covenants. No risk.

What must hold for the current price to be justified — and what if growth disappoints 20–30%

At \$114.80 the market requires remarkably little: roughly 0% real revenue growth, a non-GAAP operating margin sustained near 15%, and no impairment. On a simple perpetuity, roughly \$540m of 2026 free cash flow capitalised at a 10% cost of capital with zero growth gives roughly \$5.4bn of enterprise value plus \$0.77bn of net cash, or approximately **\$119 per share. The current price implies literally zero growth in perpetuity.**

If growth disappoints by 20–30% relative to our base case — roughly 3.6–4.2% CAGR rather than 5.2% — 2028 EPS falls to roughly \$15.30–\$15.55 against a base of \$16.22, and at 12x the value falls to roughly \$184–\$187, only about 5% below base. **Growth disappointment alone does not break this equity.** The dangerous combination is growth disappointment accompanied by margin compression: at 3.6% growth and a 13% margin, 2028 EPS falls to roughly \$12.10, and at a de-rated 9x multiple that is roughly \$109 — slightly below today's price. The market is currently pricing that combined scenario as the base case.

The single scenario that would permanently impair the business

Enterprise clients concluding that AI-augmented internal teams can do what they previously outsourced — and acting on it at scale. Not AI making EPAM's engineers faster (which helps EPAM), but AI making clients' own engineers sufficient (which removes the reason EPAM exists).

In that world EPAM does not fail dramatically. Revenue declines 5–10% annually, utilisation falls below 70%, restructuring charges appear for the first time, goodwill is impaired, the buyback is suspended to preserve cash, the best engineers leave for AI-native product companies, and the reputational premium erodes. The business remains cash-generative for years while shrinking — the DXC path — and the equity settles near \$55–70.

Plausibility: roughly 25–30%. The mechanism is already partially visible: the two verticals with the most technically sophisticated clients — Software & Hi-Tech at –1.3% and Business Information & Media at –2.1% — are the two that have turned negative first. That ordering is exactly what the insourcing thesis predicts and is difficult to explain by macro factors alone. The counter-evidence is equally specific: gross margin expanding 190bp on price increases, Financial Services accelerating to +11.5%, and AI-native revenue compounding for six consecutive quarters. Both datasets are real. The next four quarters will determine which one is the trend and which is the noise.

25. Timeline of Key Events and Catalyst Calendar

Timeline of key past events

Date	Event
1993	EPAM founded by Arkadiy Dobkin and Leo Lozner
Feb 2012	NYSE IPO; revenue at listing approximately \$434m
2018	Continuum acquired — design and innovation consulting capability
Nov 2021	All-time high share price of approximately \$722; Emakina acquired
Dec 2021	Optiva Media acquired
24 Feb 2022	Russia invades Ukraine; shares open –16%, close –8.6%
Feb–Mar 2022	Guidance withdrawn; single-day fall of 45.7%; roughly \$25bn of market value destroyed; announced exit from Russia
2022–2024	Delivery relocation programme: India becomes the largest delivery location; Latin America and Caucasus build-out
16 Feb 2023	\$500m repurchase programme authorised alongside FY2022 results
May 2024	Q1 2024: EPS beat, FY guidance cut; shares fall 27%
1 Aug 2024	2024 repurchase programme authorised (\$500m)
Oct 2024	First Derivative acquired for approximately \$290m
Nov 2024	NEORIS acquired for \$626.3m — largest deal in company history
May 2025	Leadership succession announced
1 Sept 2025	Balazs Fejes becomes CEO and President; Arkadiy Dobkin becomes Executive Chairman
3 Oct 2025	2025 Credit Agreement: \$700m revolver, expandable to \$1.2bn, maturing October 2030
16 Oct 2025	\$1.0bn repurchase programme authorised
19 Feb 2026	FY2025 results: revenue \$5.457bn (+15.4%), non-GAAP EPS \$11.50, GAAP EPS \$6.72 (–14.3%)
12 Mar 2026	Investor Day: AI-native strategy, AI/RUN launch, 2028 targets (16%+ margin, \$1.8bn+ FCF)
Mar 2026	\$300m accelerated share repurchase executed
6 Apr 2026	DEF 14A filed: board declassification, special-meeting rights proposals
May 2026	Q1 2026: revenue \$1.4bn (+7.6%), EPS beat, FY guidance cut to 4.0–6.5%
21 May 2026	Virtual annual general meeting
Jun 2026	Sector-wide IT services de-rating on AI substitution fears
6 Aug 2026	Q2 2026: revenue \$1.415bn (+4.5%), non-GAAP EPS \$3.38 (+22%), margin 16.4% — FY guidance cut to 3.2–4.2%; shares fall 22%

Upcoming catalyst calendar

Date	Catalyst	Importance	What to watch
29 Oct 2026	Q3 2026 results	Critical	Guidance is \$1.410–1.425bn revenue, GAAP EPS \$2.33–2.41, non-GAAP \$3.38–3.46. The three questions that matter: (1) Does the Americas turn negative? (2) Does operating cash flow recover from negative \$2m? (3) Is full-year guidance held rather than cut for a third time this year? A maintained guide is the specific catalyst for a re-rating.
Oct–Nov 2026	AI-native revenue milestone	High	Cumulative AI-native revenue should approach \$450–480m by Q3 if the \$600m full-year target holds. A miss here would severely damage the strategic narrative.
Q4 2026	Large multi-year AI deal signings	Critical	Management said these slipped to H1 2027. Any announced signing before year-end would be a significant positive surprise; further slippage would be materially negative.
Q4 2026 / Q1 2027	Buyback execution and possible new authorisation	Moderate	Roughly \$450m remained available. Watch for acceleration at depressed prices, or a new/expanded authorisation — and note the existing programme expires around October 2027.
Feb 2027 (est.)	Q4 and FY2026 results, plus initial FY2027 guidance	Critical	The most important event in the calendar. Initial FY2027 guidance will reveal whether management believes the H1 2027 AI pipeline converts. Also the annual goodwill impairment assessment.
Feb–Mar 2027	FY2026 Form 10-K	High	Full-year receivables and DSO disclosure; goodwill impairment testing; updated contract-mix disclosure; stock-based compensation quantum.
Mar 2027 (est.)	Possible Investor Day	Moderate	Whether the March 2026 2028 targets are reaffirmed, revised or withdrawn.
Apr 2027	DEF 14A proxy filing	Moderate	Board refreshment, executive compensation metrics (particularly whether targets are GAAP or non-GAAP based), progress on declassification, any shareholder proposals.
May 2027 (est.)	Annual general meeting; Q1 2027 results	High	First evidence of whether H1 2027 AI revenue materialised.
Ongoing	Peer read-across	High	Accenture quarterly results (the sector bellwether), Cognizant, Globant, Endava, Infosys and TCS. Sector-wide evidence on AI's effect on services demand moves EPAM more than company-specific news, given the thematic short base.
Ongoing	M&A and activism	Moderate	Any Schedule 13D filing, private-equity approach, or strategic-review announcement. The Thoughtworks and Perficient take-privates establish clear precedent.
Ongoing	Geopolitical developments	Moderate	Ukraine, sanctions regimes, visa and immigration policy, EU AI Act implementation.

26. Conclusion

EPAM is a genuinely good business trading at a distressed price because of a genuinely serious question.

The question — whether generative AI deflates or expands demand for enterprise software engineering — is not resolvable today by any amount of analysis. What is resolvable is the asymmetry. At 5.5x EV/EBITDA, 0.91x EV/Sales, 8.7x guided non-GAAP earnings and a roughly 10% free cash flow yield, with \$769m of net cash, no debt maturities until 2030 and roughly \$450m of buyback authorisation remaining, the market is pricing a business in terminal decline. The most recent quarter showed revenue up 4.5%, gross margin up 190bp on price increases, non-GAAP EPS up 22%, and AI-native revenue above \$160m compounding for a sixth consecutive quarter.

Those two descriptions cannot both be right. Our judgement is that the truth sits closer to the second, with roughly a 25–30% probability that the first is correct — against a market that appears to be pricing 40–50%. That gap, combined with a balance sheet that pays investors to wait through a compounding buyback, is the investment case.

The risks are real and should not be minimised: two verticals are already shrinking, the Americas is 50bp from negative, Q2 operating cash flow was negative, management has cut guidance three years running, roughly \$1.21bn of goodwill sits on the

balance sheet against an Americas business growing +0.5%, and 15.8–18.9% of the shares are sold short. This is not a low-risk holding, and it should not be sized as one.

Recommendation: BUY, high variance. 12-month fair value \$150 (+31%). The specific catalyst to watch is the Q3 2026 result on 29 October 2026 — not for an EPS beat, which is close to certain and will not move the stock, but for *maintained full-year guidance and a recovery in operating cash flow*. That combination would be the first evidence in three years that the deceleration has a floor.

Appendix: Data Provenance

Reported figures (high confidence, company-disclosed, sourced via web search of press releases, SEC filing content and earnings-call coverage): FY2019–FY2025 revenue; FY2024 and FY2025 GAAP and non-GAAP operating income, margins and EPS; FY2025 operating and free cash flow; FY2025 revenue by vertical; quarterly revenue by geography for Q1–Q3 2025 and Q2 2026; all Q1 and Q2 2026 income-statement and cash-flow figures; FY2026 and Q3 2026 guidance; cash and debt at 30 June 2026; credit facility terms; buyback authorisations and annual repurchase amounts; headcount, utilisation, attrition and India delivery scale; client concentration; goodwill by segment at 30 September 2025; NEORIS and First Derivative consideration; leadership succession dates and terms; short interest; the 2026 proxy nominee slate.

Author estimates and derivations (treat as indicative): FY2019–FY2023 operating income, margins, non-GAAP EPS and cash flow; FY2025 geographic revenue split; FY2025 gross profit and adjusted EBITDA; segment EBIT by vertical (EPAM does not disclose this); share count and market capitalisation; enterprise value; all valuation multiples for EPAM and every peer; ROE and ROIC; current contract-type mix; all FY2026–FY2028 forecasts beyond company guidance; all scenario analysis; transaction multiples for M&A comparables; individual shareholder stake percentages; board tenure other than for Dobkin, Robb and Mayoras.

Not obtainable in this environment: direct access to SEC EDGAR, EPAM investor relations materials, the FY2025 Form 10-K, the Q2 2026 Form 10-Q, the 2026 DEF 14A, and terminal-quality peer valuation data. The network policy of the research environment permitted web search only. Any figure marked as an estimate should be verified against primary filings before it is relied upon for an investment decision.

Disclaimer

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